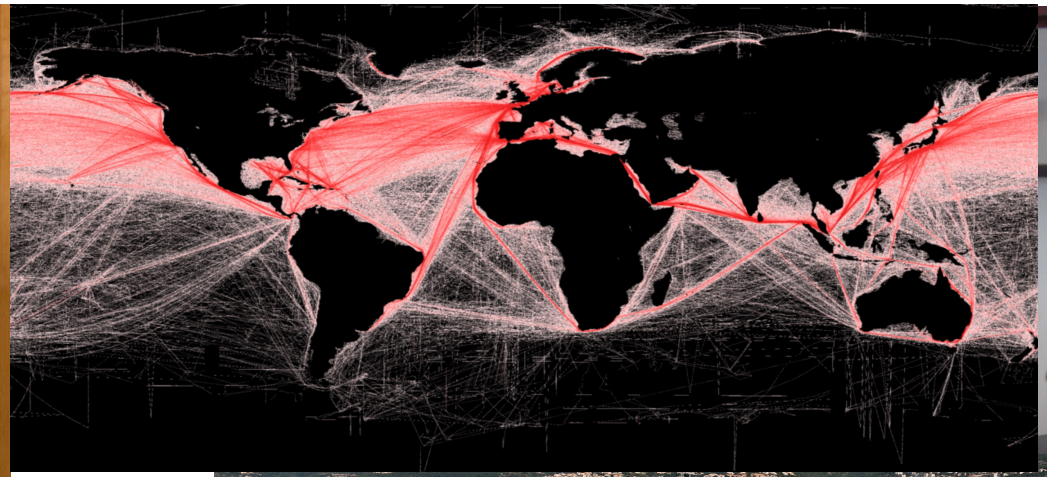
Ch. 5.6: Foreign Affairs: External Security, Trade, Development Cooperation.

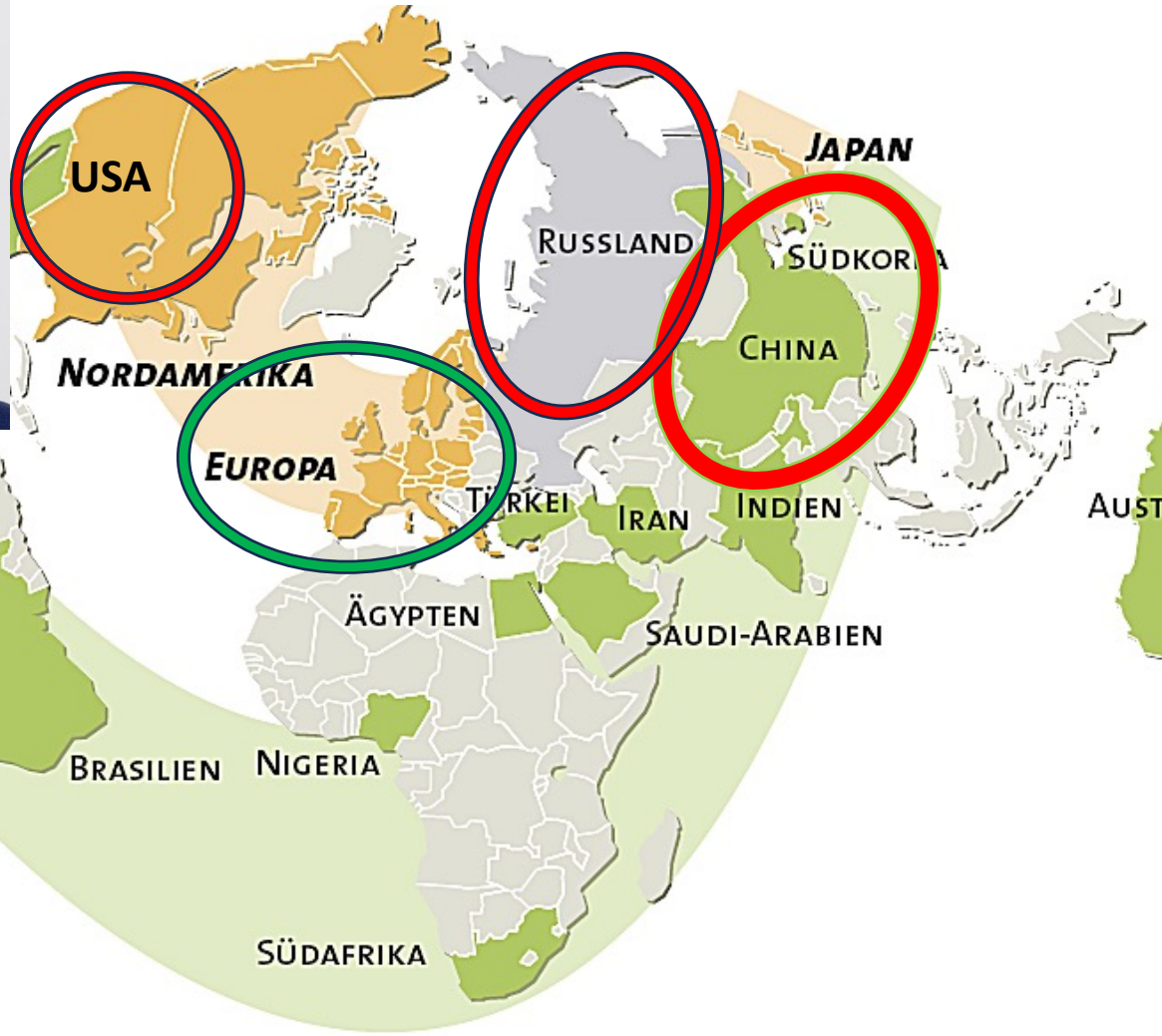


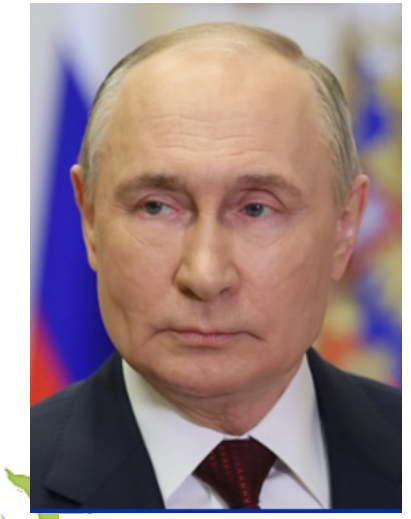
STOP THE
TRANSATLANTIC
TRADE DEALS

The European Union in a Global Powerplay.

Ursula van der Leyen

Kaja Kallas





Vladimir Putin

Donald Trump

Xi Jinping

Four “Superpowers”– USA, China, EU and Russia - plus regional actors.

A Common Foreign and Security Policy (CFSP).

- **Evolution of the CFSP:**
  - In economic, trade and monetary terms, the EU as an institution has become a major world power.
  - International trade is a Community matter – all agreements are concluded by EU and not Member States.
  - Foreign relations and defense policy remain however largely within the competence of the Member States.
  - Consequently, the EU has been described as an *„economic giant, a political dwarf and a military worm“* (Former Belgian Minister for Foreign Affairs, Marc Eyskens).
- **The High Representative:**
  - Treaty of Lisbon created a High Representative of the Union for Foreign Affairs and Security Policy.
  - Article 15 of the Treaty of Lisbon: *„The High Representative shall conduct the Union's common foreign and security policy. He shall contribute by his proposals to the development of that policy, which he shall carry out as mandated by the Council. The same shall apply to the common security and defense policy.“*

A Common Foreign and Security Policy (CFSP).

- **Mandate of the High Representative:**
  - The High Representative (Kaja Kallas) speaks on behalf of the EU in agreed foreign policy matters and is in charge of the common Diplomatic Corps for the Union.
- **Priority objectives of the CFSP:**
  - Safeguard the common values, fundamental interests, independence and integrity of the Union in conformity with the principles of the UN Charter.
  - Promote international cooperation.
  - Develop and consolidate democracy and the rule of law, and respect for human rights and fundamental freedoms.
  - ***Strengthen the security of the Union in all ways and preserve peace.***
  - ***Defend the territory of the European Union against attacks by an aggressor (like Russia).***
- **Decision making in the CSFP:**
  - Decisions require unanimity among Member States in the Council, but certain aspects can be further decided by qualified majority voting.
  - Disagreements between the Member States, such as those which occurred over the war in Iraq, are not uncommon.

The Common Security and Defense Policy (CSDP).

- **An embryonic common European defense policy:**
- Following the Kosovo war in 1999, the European Council decided that "the Union must have the capacity for autonomous action".

US soldiers in the Kosovo 1999

- The Common Security and Defense Policy established in 2003, is a major element of the Common Foreign and Security Policy of the European Union covering defense and military aspects.
- **Goals:** Development of a common defense policy, eventually leading to a common defense system, where actions are based on unanimous decisions of the European Council.
- Key threats for the EU as listed in the CFSP: terrorism, proliferation of weapons of mass destruction, regional conflicts, failed states, organized crime.
- Office of European Union Military Staff (EUMS) with 200+ staff in Brussels is responsible for supervising operations (Head: The High Representative of the CFSP, Kaja Kallas).

Achievements of the CSDP: EUFOR-Missions.

- **EUFOR missions in the Balkan (start 2003):**
  - 1.000 – 5.000 troops deployed.
  - Mandate: Peace keeking in the region after the break-up of Yugoslavia with many regional conflicts (Macedonia, Bosnia, Herzegovina, Kosovo)

- **EUFOR Chad mission (start 2007):**
  - 3,700 troops deployed in the Tschad.
  - Mandate: to protect civilians, facilitate delivery of humanitarian aid, and ensure the safety of UN personnel.

EUFOR on missions in the Balkans.

EUFOR Tschad authorized by UN Security Council.

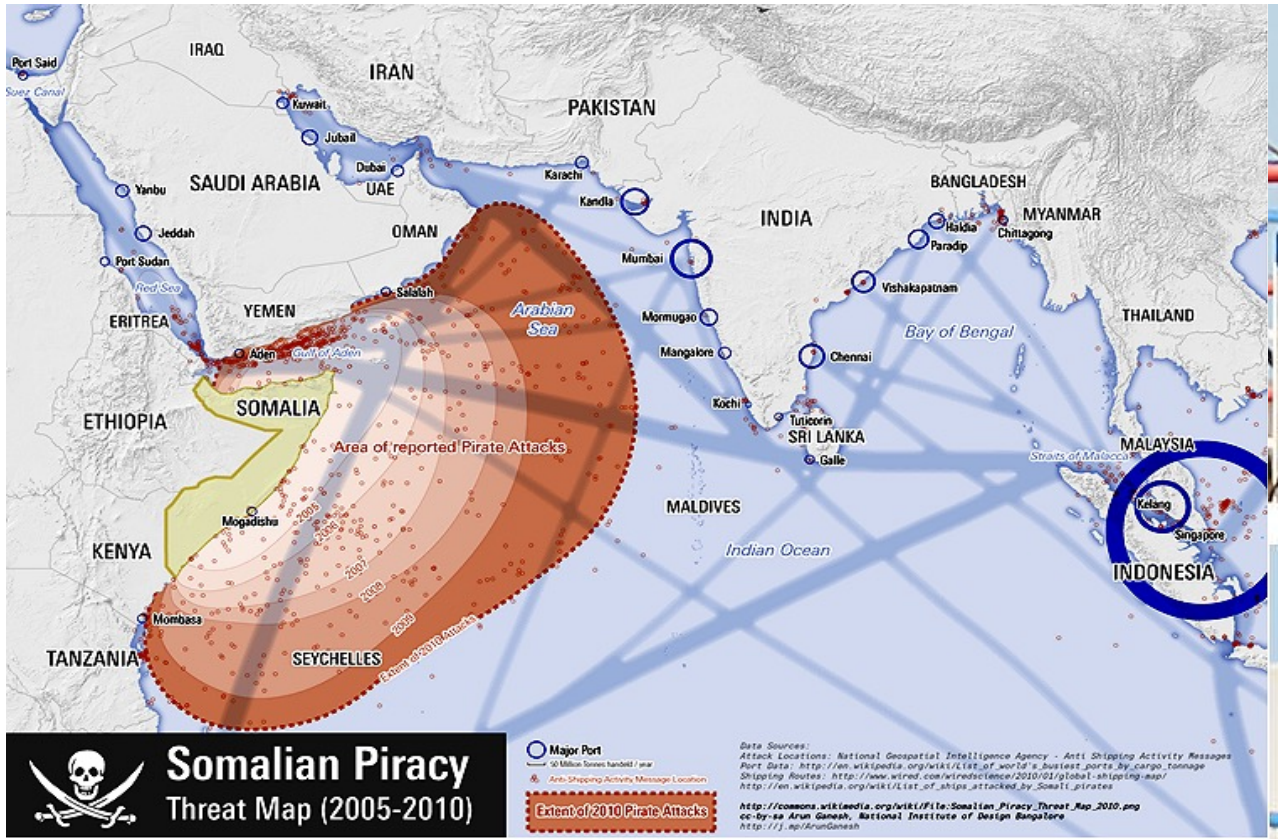
Achievements of the CSDP: EUFOR-Missions.

- **Eunavfor (operation „Atalanta“) – start 2008:**

– Problem: Several hundred attacks on commercial ships since 2006 of which many were successful, e.g. in Dec. 2010 36 ships with 650 hostages were under control of the pirates.

– Mandate: Stop the piracy off the Somali coast.

– Joint naval patrol under British command with 10 military vessels, 5 airplanes and 2.000 staff.



Challenges for the CSDP.

- **The European Union's Rapid Reaction Force:**

– Under the “Helsinki 2003” plan, the European Union pledged itself to be able to deploy rapidly and then sustain forces capable of the full range of the so-called Petersberg tasks for humanitarian and rescue activities, peace keeping and crisis intervention, including peace making.

– This would involve up to 15 brigades or 50.000-60.000 persons with activation time of less than 60 days, operational distances of up to 4.000 km and duration of up to 1 year.

– Up to now 15 European Union battlegroups (EUBG) have been established (on paper) each consisting of about 2.000 combat soldiers from different member states.

– The forces are under the direct control of a unanimous European Council.

- **Russia’s attack on the Ukraine:**

– The Rapid Reaction Force could be increased to 300.000 soldiers (nucleus of a European army?).

– The Russian attack on the Ukraine showed the urgent need to strengthen the military capacity of the EU massively.

- Following strong pressure by President Trump Nato decided 2025 to increase the military spending of Members to 5% of the GDP (including infrastructure measures) from now 1,8%.

Achievements of the CSDP: EUMAM.

- **The EU Military Assistance Mission in support of Ukraine (EUMAM Ukraine) - start 2022:**

– Aims at strengthening the capacity of the Ukrainian Armed Forces to defend Ukraine's territorial integrity.

– EUMAM works closely together with other international partners like NATO to provide training support to the Ukrainian Armed Forces.

– EUMAM is open to the participation of third states (GB, USA, Canada….).

– All mission activities are – so far - located on EU soil (Poland, Germany).

– 24 EU Member States have offered training modules and personnel.

– 60.000 (or more?) Ukrainian soldiers have been trained up to now.

– The training is supported by the provision of equipment for lethal and non-lethal purposes to the Ukrainian Armed Forces.

– This equipment is provided by Member States and funded by the European Peace Facility (200 billion EUR by now ?).

– EUMAM showed very quickly the military limits of the EU countries.

– Major support for the defense of Ukraine had to come from the USA.

The Military Capacity of the European Union.

Comparison Red Army of Russia – Deutsche Bundeswehr - NATO:

- **Aktive Soldiers:**
  1,3 Mio - 180.000 – 3,5 million
- **Tanks:**
  5.700 – 300 – 11.500
- **Battle ships:**
  500 – 22 – 1.200
- **Fighter jets:**
  1.500 - 200 – 5.000
- **Missiles:**
  10.000 – 300 Taurus – >10.000
- **Nuclear bombs:**
  5.500 - 0 – 5.500

Source: Statistica 2025

No single member state of the EU could now defend itself against an attack from the Russia.

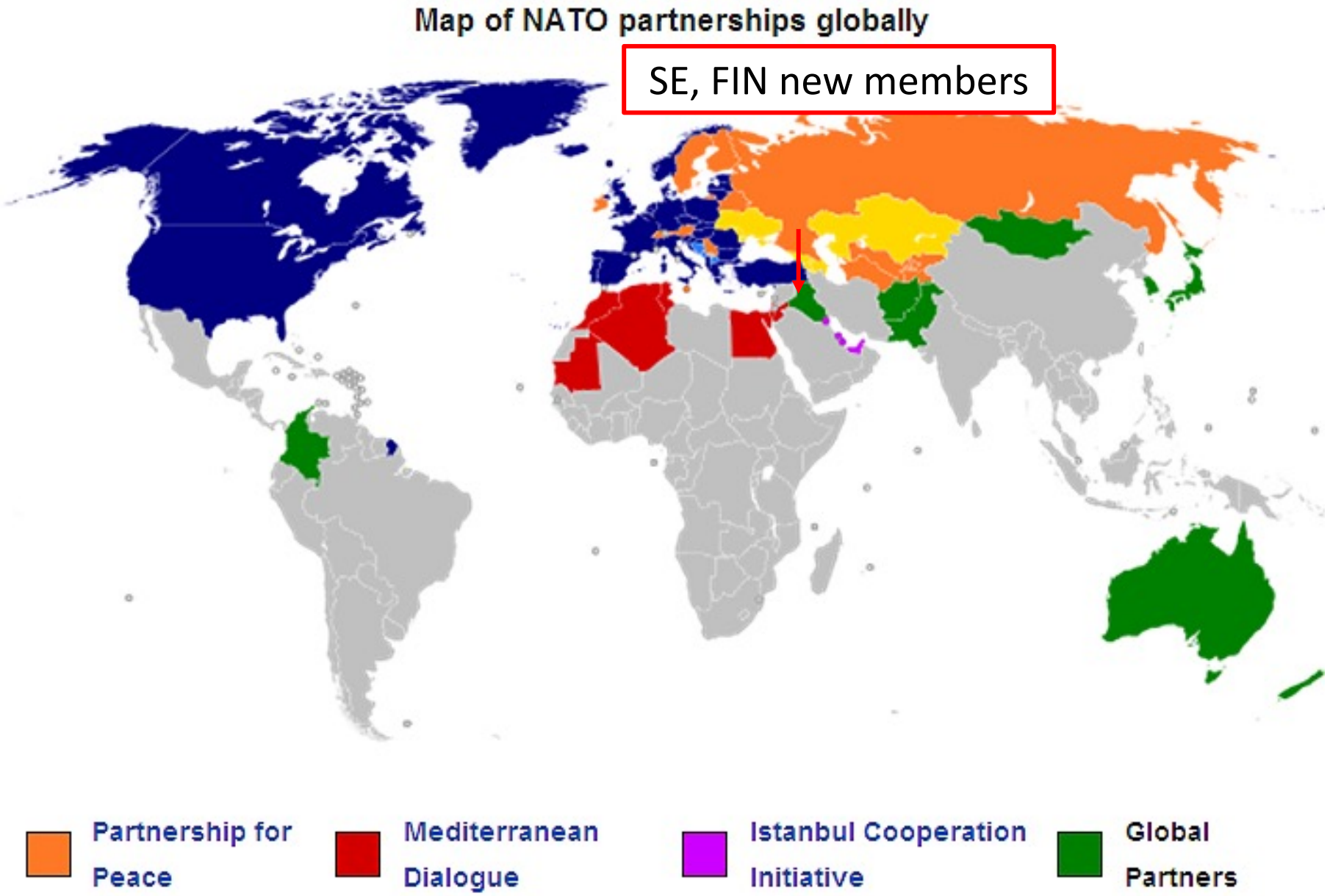
This can only be achieved with a defense activity of NATO, where the major burden would lie on the USA.

Military Defense of Europe.

- The EU itself has limited military capability, Member States are responsible for their own territorial defense, but all EU member states (except AT, IRL, Cyprus) are members of NATO, which has therefore the main responsibility for the defense of Europe.
- NATO is a system of collective defense whereby its Member States agree to mutual defense in response to an attack by any external party.

- NATO's headquarters are in Brussels.
- The NATO Chief of Command is American, the Secretary General European (Mark Rutte, NL).

The North Atlantic Treaty Organization (NATO).



- The North Atlantic Treaty Organization (NATO) is an intergovernmental military alliance established 1949.
- NATO has 32 member states and is the largest military alliance in the world.
- 22 countries in NATO's Partnership for Peace program.
- 15 other countries involved in institutionalized dialogue programs.

Towards New Global Conflicts?

Conflict between NATO and Russia:

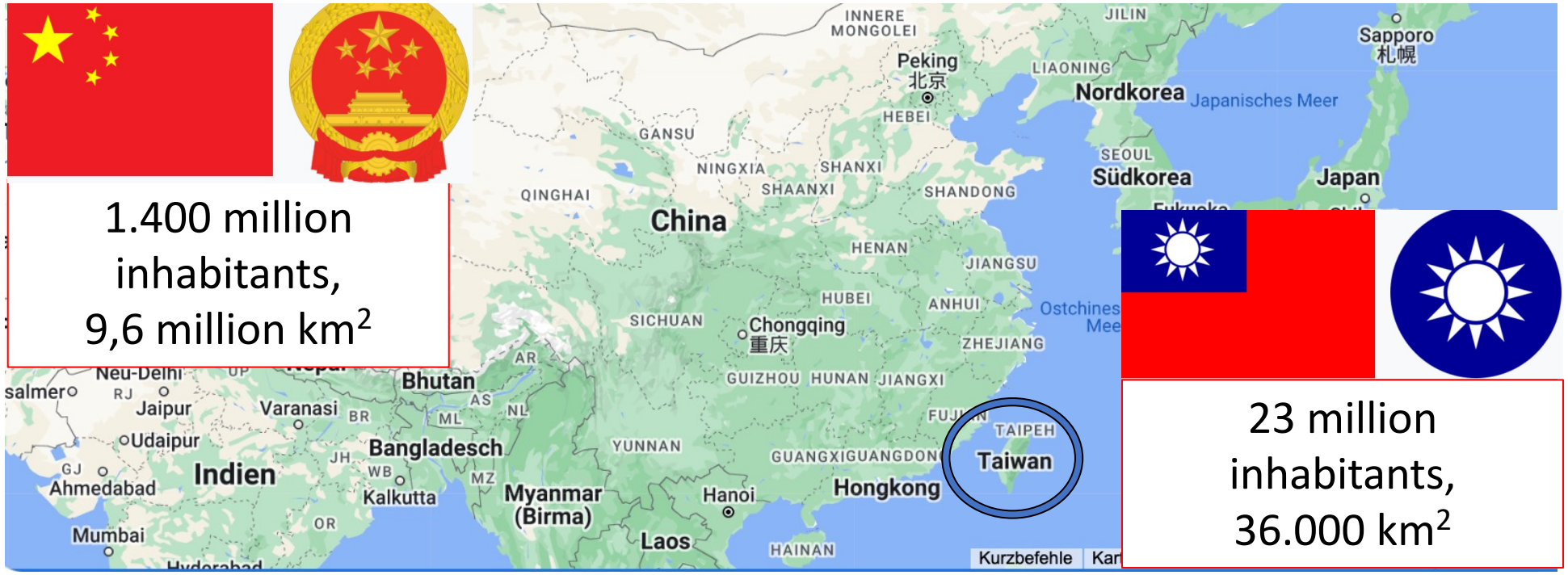
- Beginning of a real global conflict with USA, EU, Japan, South Korea on the one side and China, Russia, North Korea, Iran …. on the other side?
- Direct warfare between Russia and NATO would be the ultimate escalation, including the potential of a nuclear conflict.
- According to a peer-reviewed study published in August 2022, a full-scale nuclear war between the USA and Russia, which together hold more than 90% of the world's nuclear weapons, would kill 360 million people directly and more than 5 billion indirectly by starvation during a nuclear winter.

Tensions between USA (EU) and China because of Taiwan:

- Taiwan split off from mainland China after the civil war in 1949 under General Chiang Kai-shek.
- It gradually developed a democratic governance system and became a leading country in high technology.
- Separation of Taiwan from the People's Republic of China was never accepted by the China ("One China Policy of the Communist Party").
- This policy was endorsed by the UN in 1971.

The China-Taiwan Conflict.

- The international status of Taiwan is that of an autonomous province of China.
- Taiwan – a democratic republic – insists on its independence.
- Xi Jinping wants to integrate Taiwan into the Republic of China (till 2030?)
- Opposition of the USA – danger of a military conflict.



- Taiwan is the global leader in production of chips. Vital also for China. Military take-over might seriously damage the industrial supply.
- In addition USA/EU could not impose sanctions against China, because of their dependence on Chinese products (pharmaceuticals, computers…).

A Future Oriented Common Foreign and Security Policy (CFSP).

- **Current Threats for the EU:**
  - **Information campaigns on social media:** fake news on social media to discredit politicians and to interfere in elections.
  - **Destruction of critical infrastructure:** pipelines, electricity supply, data lines.
  - **Hybrid warfare with Cyberattacks:** energy providers, military installations, industry, banks, governments.

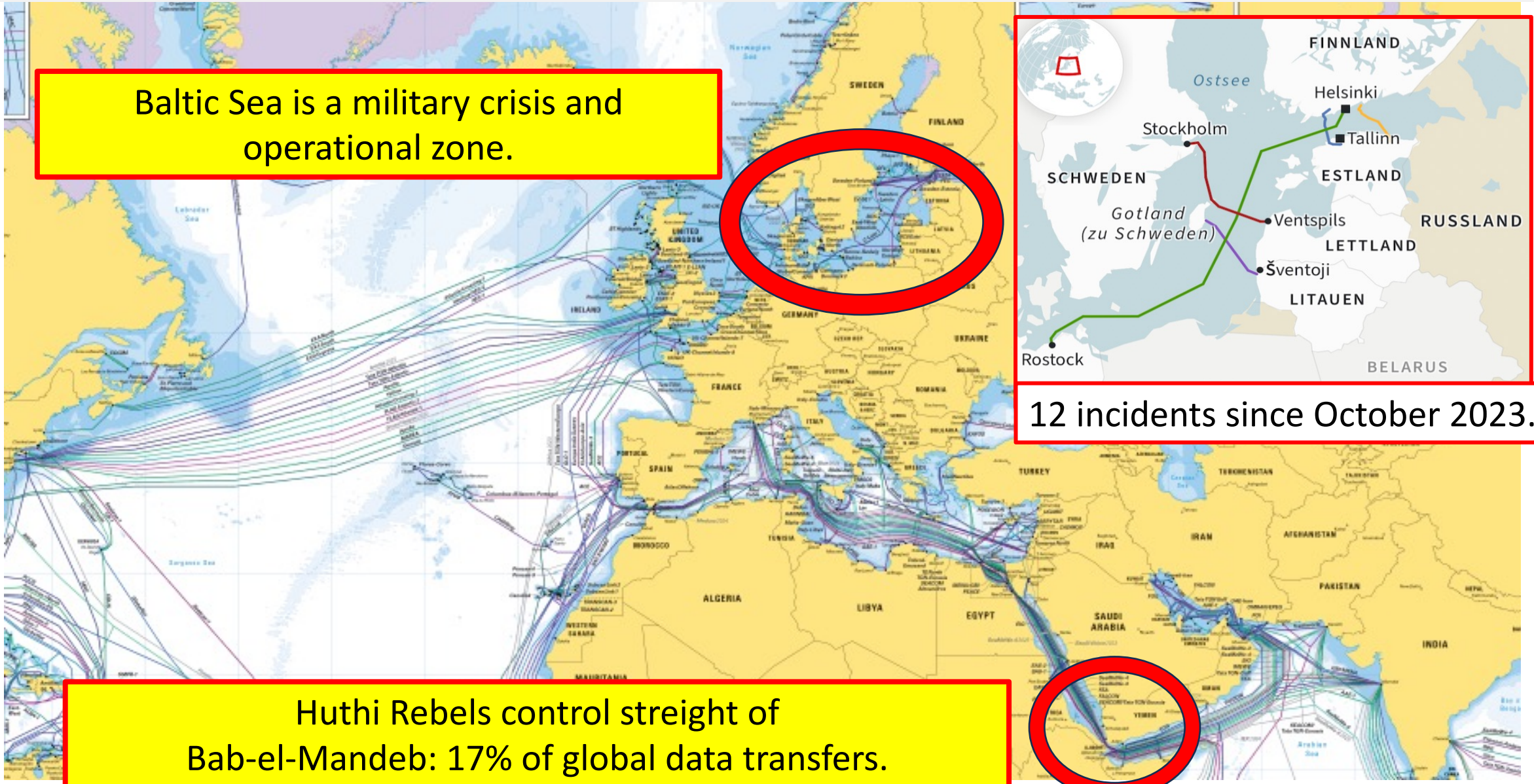
2022: Gaspipelines Nordstream 1 and Nordstream 2 destroyed/damaged.

EU must develop its own strong defense system within NATO based on an independent strong European HiTec defense industry.

This approach must be supported by a peace-oriented and effective foreign policy.

Vulnerable Networks:

Sea cables for electricity, data transfer or telephone.

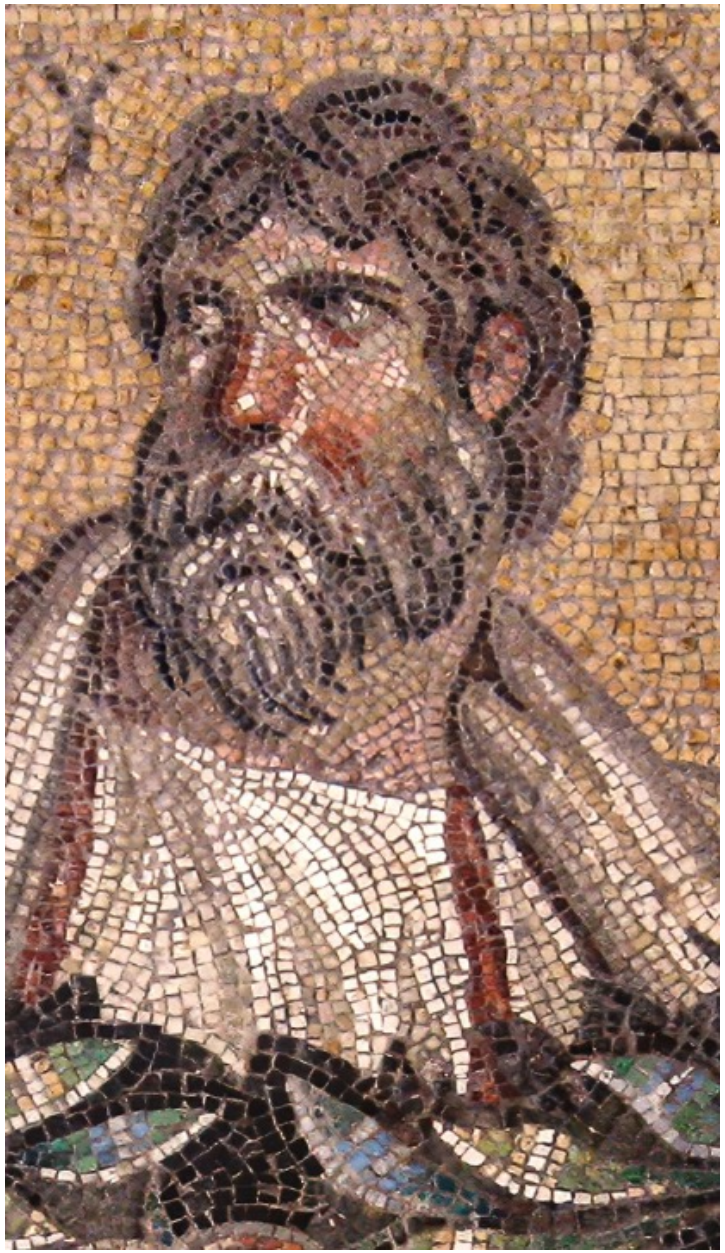


Source: https://submarine-cable-map-2022.telegeography.com

Θουκυδίδης – Thukydides.

454 - 396 BC

„The strong do what they want,
and the weak endure what they must."



A Common Foreign and Security Policy (CFSP): Foreign Policy.

- **Representation of the EU in international bodies:**
  - In the UN, the Member States have a seat and the EU is only an observer (France is also member of the Security Council).
  - In the G7 and G20, the EU has rights of membership besides chairing/hosting summit meetings and is represented at meetings by the Presidents of the Commission and the Council.
  - In the World Trade Organization (WTO) the EU as an institution and all 27 member states are represented.
  - The High Representative speaks for the EU in international organizations.
- **Foreign policy initiatives of the European Union:**
  - ***Iran Nuclear Deal (Joint Comprehensive Plan of Action 2015):***
    Iran agreed to eliminate its stockpile of medium-enriched uranium, cut its stockpile of low-enriched uranium by 98%, and reduce by about two-thirds the number of its gas centrifuges for 13 years. For the next 15 years Iran would only enrich uranium up to 3.67%. In return Iran would be relieved from sanctions by the USA, EU and the UN Security Council. Agreement never realized. Iranian nuclear program ongoing. Enrichment 60%. Most nuclear factories (esp. enrichment plants) attacked by USA in 2025/2026 and heavily damaged/destroyed.

Membership in G20.

- The G20 Summit is a meeting of the Heads of State of the most important nations in the world.
- Participants are industrialized nations as well as emerging economies.
- Nucleus of a global governance system? Represent 90% of global GDP.

First G20 Meeting in London 2009 at the occasion of the global financial crisis.
Argentina, Australia, Brazil, Canada, China, France, Germany, India, Indonesia, Italy, Japan, Mexico, Russia, Saudi Arabia, South Africa, South Korea, Turkey, United Kingdom, United States, European Union.

Annual Meetings of G20.

The eight themes were "Global Economy", "Trade and Investment", "Innovation", "Environment and Energy", "Employment", "Women's Empowerment", "Development" and "Health".

The European Union Trade Policy.

- Most important “foreign policy” – strength based on the Single Market (Binnenmarkt) – third biggest market place in the world and unified since the European Union and not the Member States make all decisions.
- Decisions are made by Council of Ministers and European Parliament with qualified majority upon initiatives by the Commission who conducts all negotiations.
- Trade agreements of the EU with its major trading partners are handled through the WTO mechanisms (established 1995) involving individual Member States and the EU.
- The European Union is increasing its trade with the emerging economies in all parts of the world and its Trade Policy is linked to its development policy.
- Under its general system of preferences (GSP), the EU has granted duty-free or cut-rate preferential access to its market for most of the imports from developing countries and economies in transition:
  - Nigeria: exports to Nigeria 10.2 billion EUR, imports from Nigeria 20 billion EUR (2024).

The European Union Trade Policy.

- **Free trade agreements:**
  - Complement the basic WTO Treaty and should be stablished with major regions of the world to remove still existing barriers like (residual) tariffs and legal restrictions for services (e.g. investments) and harmonize different technical standards.
  - Negotiated by the Commissioner for Trade, decided by Council of Ministers and Parliament.
  - Since 2018 these must be ratified by national parliaments of the Member States.
- **Successfully concluded:**
  - Canada (CETA 2017): Exports of EU to Canada 49, imports from Canada 32 billion EUR (2025).
  - Japan (2018): Exports of EU to Japan 67, imports from Japan 64 billion EUR (2024).
- **In some case difficulties in the ratification process:**
  - USA (TTIP): Negotiations started 2013. Opposition by EU farmers (competition with cheap meat) and consumer protection organizations („hormone beef“, GMOs). Proposal finally withdrawn by USA. EU now proposes a restart in view of the new customs policy of the USA.
  - MERCOSUR: Negotiations started in 1999 and concluded 25 years later. Provisionally in force since 1 May 2026. Ratification process ongoing (EP, Council of Ministers and national parliaments).

EU-Mercosur Trade Agreement.

- **Scope of agreement:**
- EU representing a huge market with 450 million people and the South American Free Trade Zone Mercosur (Brazil, Argentina, Uruguay, Paraguay) with 160 million people.
- Trade volume: exports from EU 56 billion EUR, imports from Mercosur 54 billion EUR (2023).
- Mercosur‘s main exports to EU are agricultural products such as food (esp. meat), beverages, tobacco and vegetables like soy.
- Europe's biggest exports to Mercosur include machinery, transport equipment, and chemical and pharmaceutical products.
- The planned deal would eliminate 93% of tariffs.
- The deal would allow increased access to the European market for Mercosur's agricultural goods, notably beef, poultry, sugar and ethanol and enhanced opportunities for European industry.
- Opposition by EU farmers delayed the process (competition with cheap meat) and environmental organizations (increased spreading of soy and cattle farming into the Amazon rain forest).

Still substantial opposition from European farmers and environmental groups.

The European Union Trade Policy.

- **Trade figures:**

– The European Union is the second largest exporter in the world (after China) and the second largest importer (after the USA) of goods.

– The Extra-EU's exports of goods amount each year to 2.650 billion EUR, the Extra-EU imports to 2.510 billion EUR (2025).

– Trade balance for goods + 140 billion EUR (2025).

– Intra-EU Trade: 4.050 billion EUR (2025).

– The largest trading partners of the European Union are the USA, China, United Kingdom, Switzerland and Turkey (replaced Russia in 2022).

– Trade with Russia has dropped by 80% in 2022 due to sanctions.

– The EU is trying to diversify its trade relations with emphasis on South America (MERCOSUR trade agreement), India, South East Asia and Africa.

- Medicinal and pharmaceutical products, road vehicles, general industrial machinery and equipment, electrical machinery, appliances and electrical parts, and machinery specialized for particular industries were among the top exports of the EU.

Source: Statistica, EUROSTAT

Global Partners and Competitors.

Most important political and economic partner of the European Union.

Democracy with liberal market economy: 340 million inhabitants.

Relation EU-USA: The Transatlantic Partnership.

- **The USA is the most important political partner of the European Union:**

– The USA have provided massive support in rebuilding Europe after WW2 (Marshall Plan and huge investments by American companies, banks….).

– They have defended Western Europe during the 40 years of the cold war against Soviet aggression and protected our democratic systems.

– They finally caused the breakdown of the Soviet empire in 1989 thus laying the grounds for the changes to democratic governments in Central-Eastern European countries and the reunification of Germany.

– The USA are (still) the leading nation in research, innovation and technology operating on the basis of a liberal market society.

– Their military potential protects Europe against foreign aggression under the umbrella of the NATO.

– For the USA the European Union is particularly important because of its large population and economic performance.

– Review of the overall very fruitful relations by Donald Trump (“A new sherif is in town!”).

Relation EU-USA: The Transatlantic Partnership.

- **The USA is the most important trading partner of the European Union:**
  - Exports of goods from the EU to the USA 554 billion EUR (2025).
  - Imports of goods from the USA 356 billion EUR (2025).
  - Trade surplus of EU: 198 billion EUR (2025).
  - Exports of services from the EU to the USA 343 billion EUR (2025).
  - Imports of services from the USA 522 billion EUR (2025).
  - Surplus in services of USA: 177 billion EUR (2025).
  - Net trade deficit of USA: 21 billion EUR (2025).
- Relations were in general very easy going until President Trump began to address “imbalances”:
  - Different tariffs in bilateral trade (cars into the USA 2,5%, cars into the EU 10%).
  - New tariff system proposed, increased investment of EU in US industrial production.
- If the USA will continue to pursue a policy of multilateralism and globalization of trade the alliance USA-EU will be a leading factor for the future peaceful global development based on principles of democracy.

The Transatlantic Partnership represents a Win-Win-Situation.

🇺🇸 U.S. Manufacturing Surge (2025)

💰 Apple – $500B to scale U.S. production
💰 Nvidia – $500B for AI chip plants (TX & AZ)
💰 Stargate – $500B for AI infrastructure
💰 IBM – $150B in R&D & manufacturing
💰 Johnson & Johnson – $55B in new facilities
💰 Eli Lilly – $27B, 13K jobs, 4 sites
💰 TSMC – +$100B for U.S. semiconductors
💰 Hyundai – $21B incl. $5.8B LA steel plant
💰 Merck – $1B in DE drug production
💰 Amgen – $900M OH biotech expansion

Bottom line: AI, chips, biotech, pharma, steel—U.S. manufacturing is booming.

The Third Industrial Revolution.

- **Based on ICT and molecular biotechnology.**
- **Clear dominance of the USA in R&D and manufacturing.**
- **The European Union is falling behind.**
- **The only real competitor of the USA is China.**

Milan Sing, Facebook 2025

Global Partners and Competitors.

Second most important trade partner of the European Union.

Autocracy mit dirigistic capitalism: 1,4 billion inhabitants.

The Incredible Development of China.

Quelle: NZZ.

The Incredible Development of China.

Shanghai 2023

The World Power China.

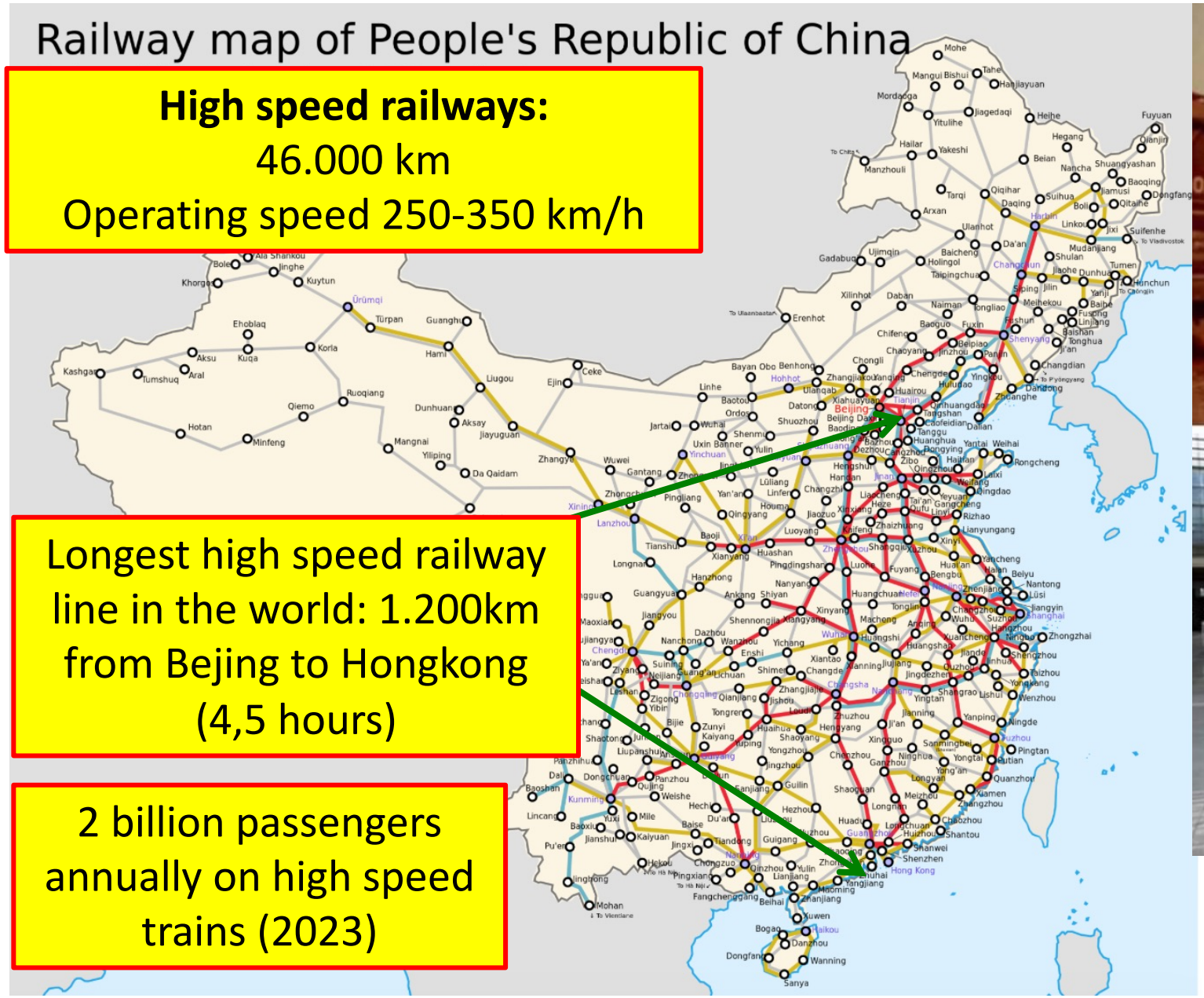
Increase of the GDP
1972 - 2023:
Factor 157

Austria:
Factor 11

One third of the global production of goods takes place in China.

Second largest economy in the world. Number one 2035?

China – The World Leader in Traffic Infrastructure.



High speed railways:
46.000 km
Operating speed 250-350 km/h

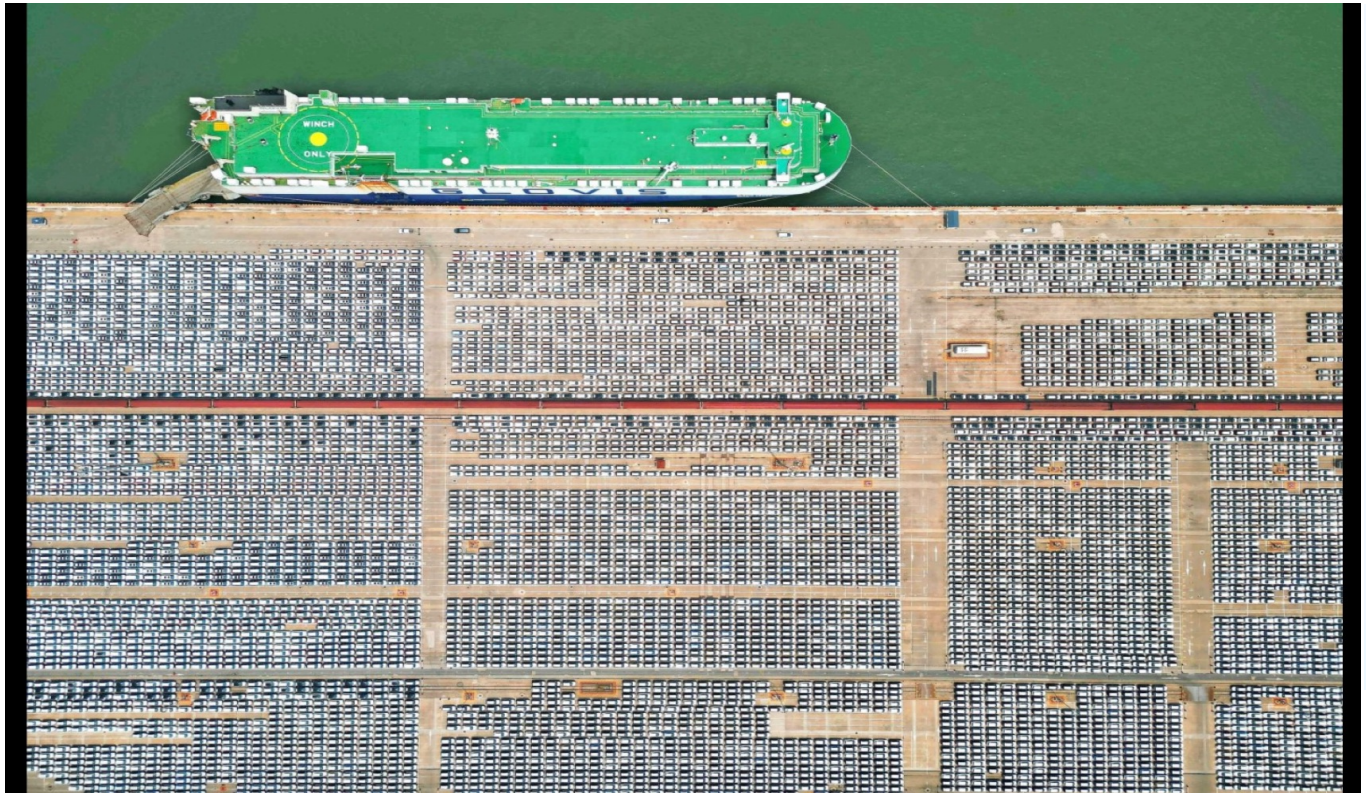
Longest high speed railway line in the world: 1.200km from Bejing to Hongkong (4,5 hours)

2 billion passengers annually on high speed trains (2023)

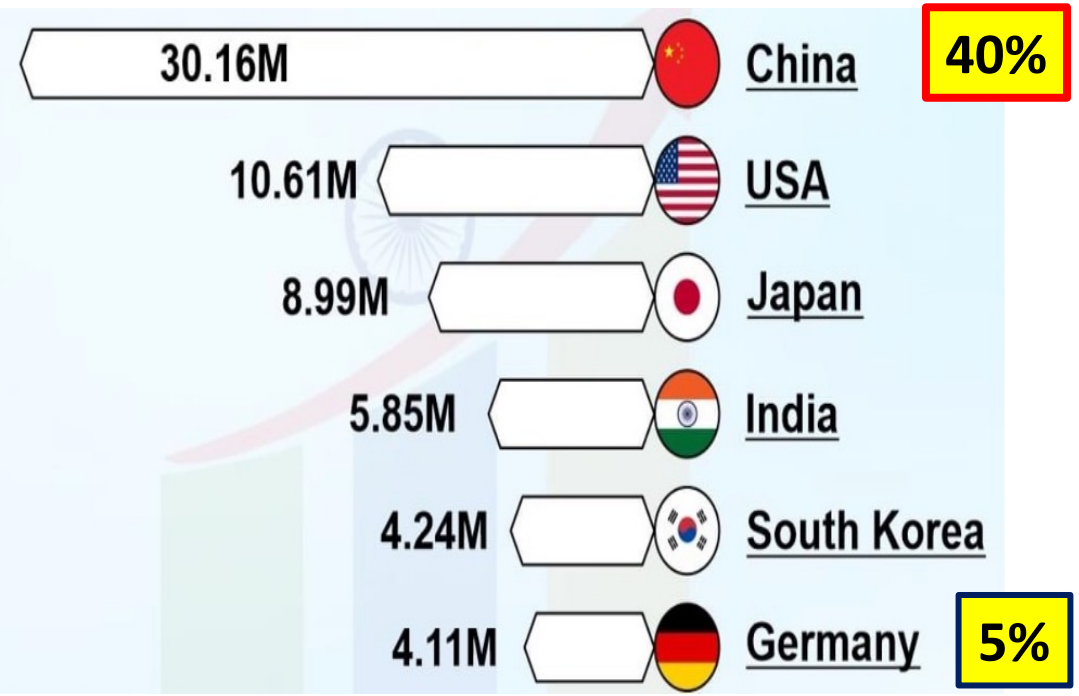
Locomotive pilot Han Junjia
1998 and 2024

The Industrial World Power China: Road Vehicles.

Export harbor Yantai.



Global production of light vehicles: 80 million.



- **Elctromobility (production 2023):**
  - BEVs: China 6 million, EU 1 million
  - Batteries for E-cars: China 80%

Strategy: Affordable Elektromobility.

Source: Facebook 2024

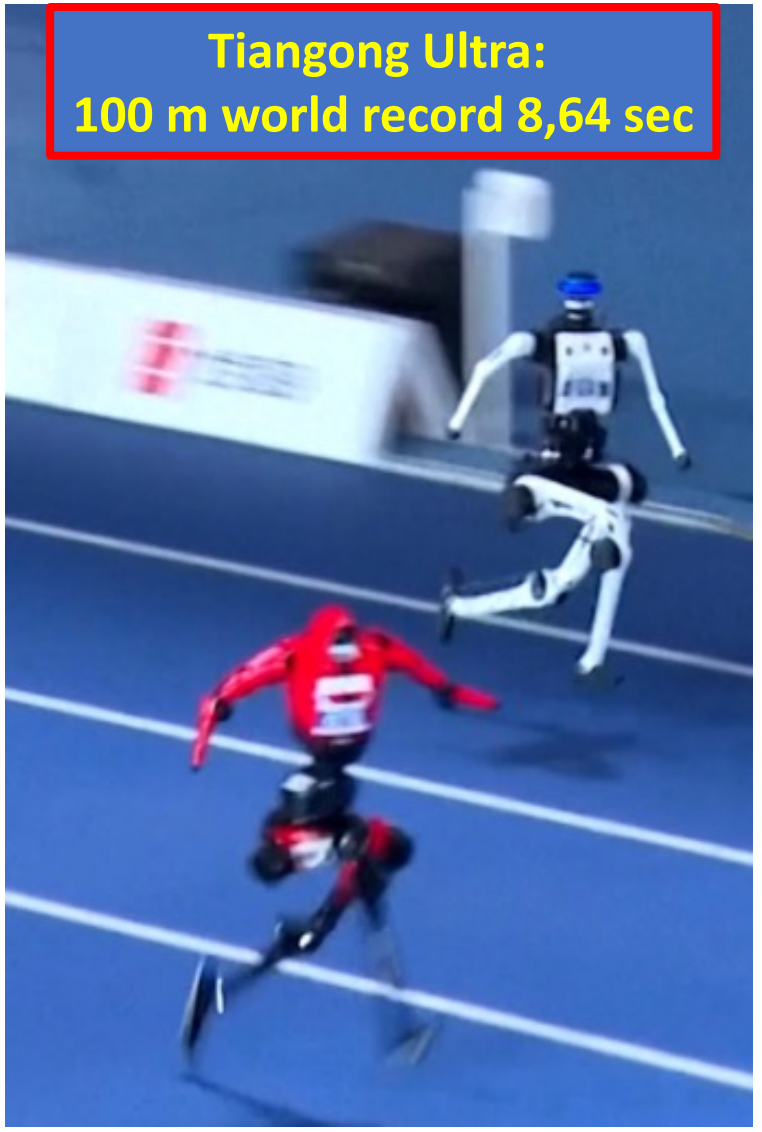
The Industrial World Power China: Artificial Intelligence and Robotics.

The world's first all-domain 5G-AI flexible super factory has been launched in southwest China's Chongqing

Integrating more than 40 cutting-edge technologies, the factory of Avatr rolls out a new vehicle from its fully automated production line every 60 seconds on average.

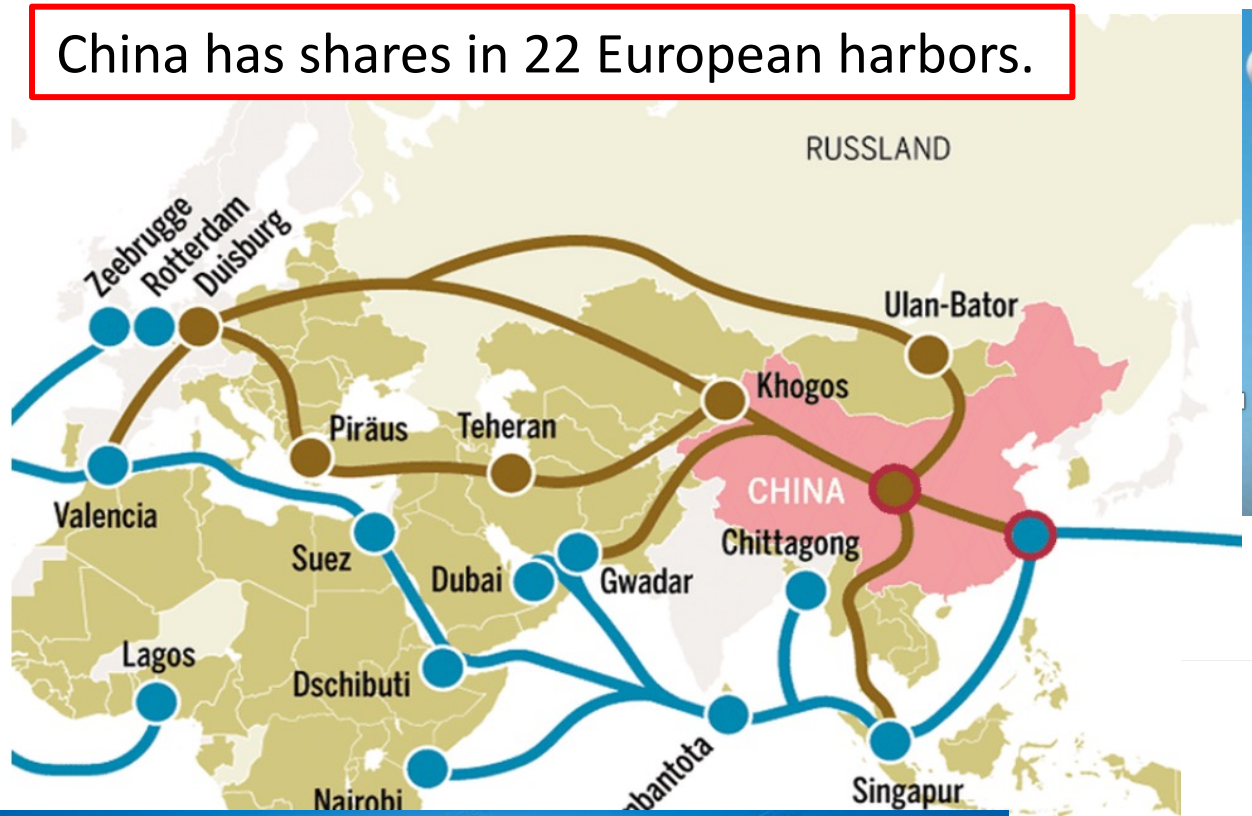
Changan Avatr 12 Gran Coupé

The Industrial World Power China: Artificial Intelligence and Robotics.



The New Silk Road.

China has shares in 22 European harbors.



Production of passenger airplanes.

MSC Irina, 440x70m, 24.000 Container.

China-Europe-Express > 10.000 km, 2 weeks.

China – A Global Military Superpower.

- **China now number 3 in military power:**
  - 2 million soldiers,
  - 5.000 tanks,
  - 350 battle ships,
  - 80 submarines,
  - 2.500 fighter planes,
  - 400 (?) nuclear warheads

New aircraft carrier Fujian (length 360m): magnetic acceleration of fighter planes of 30 tons to starting speed of 250 km/h in 2,1 seconds.

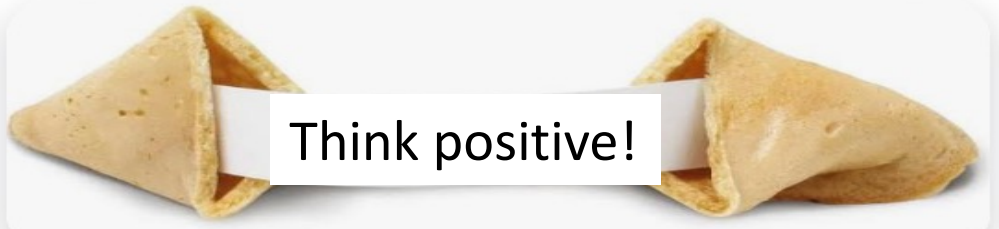
Relations EU - China.

- **Trade balance:**
  - Exports of goods of EU into China: 200 billion EUR (2025).
  - Imports of goods of EU from China: 560 billion EUR (2025).
  - Trade deficit of EU in goods: 360 billion EUR (2025) – strongly rising (2000: 45 billion).
  - Exports of services of EU into China: 67 billion EUR (2025).
  - Imports of services of EU from China: 45 billion EUR (2025).
  - Trade surplus of EU in services: 22 billion EUR (2025).
  - Net trade deficit of EU: 338 billion EUR (2025).
  - **Goal of EU:** reduce deficit (import taxes - up to 35% for E-cars, EU initiative „Buy European!“)
- **Challenges for the EU:**
  - Rapid technological advancement of China (electromobility, AI, mechatronics…),
  - China graduates 1 million engineers every year.
  - Production costs of goods are about half of Europe.
- **Difficult situation for Europe.**

The future relation between the EU and China is not very clear.

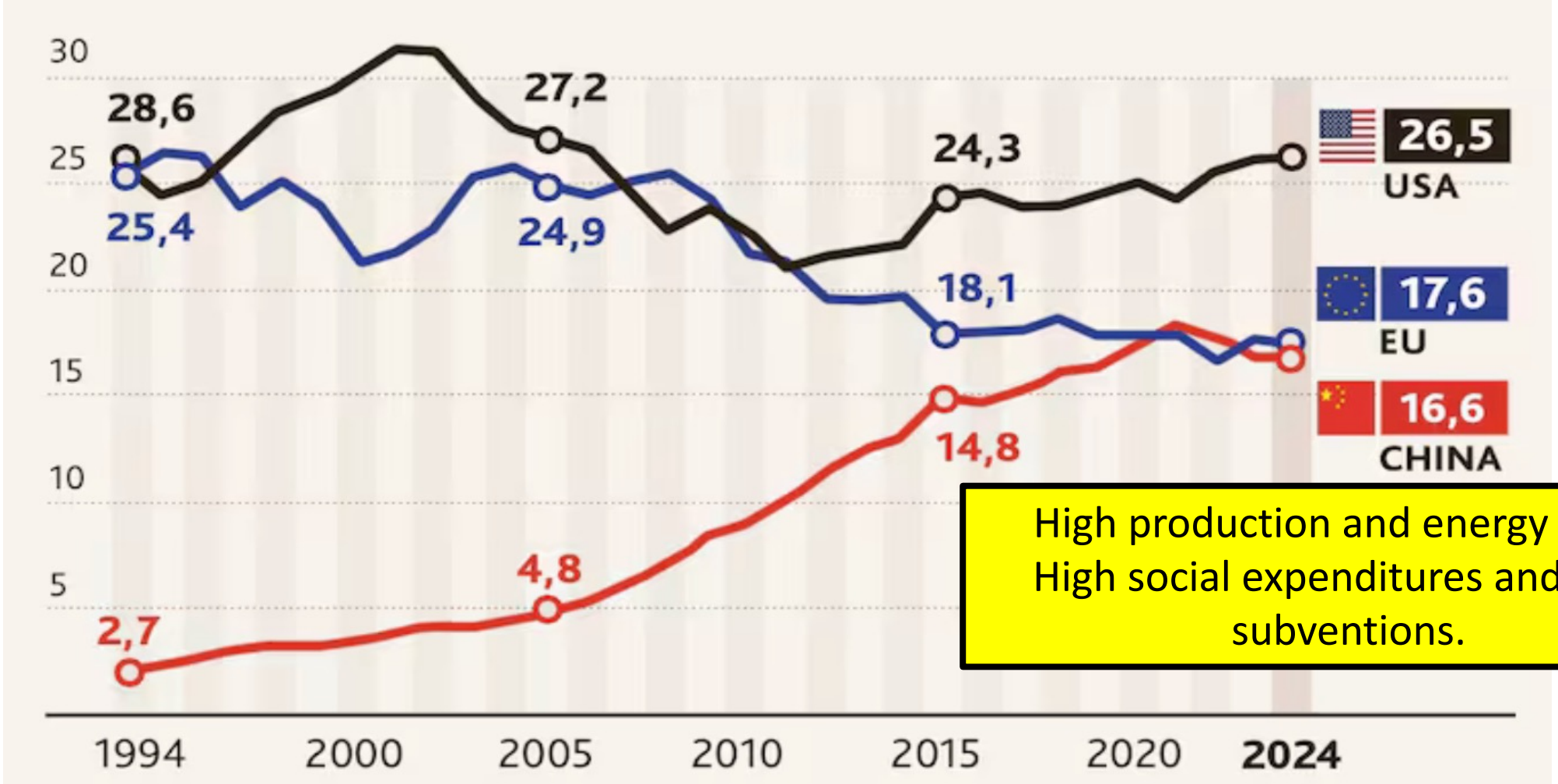
These BMW iX3 are produced in China at the Shenyang plant in Liaoning province.

These Chinese „Fortune Cookies“ are produced in Gondelsheim and Bad Abbach (Germany).



Evolution of the Economic Performance of the EU.

The share of the EU in the global economy is shrinking: minus 30% in 20 years.



High production and energy costs.
High social expenditures and state subventions.

Dominance of „classical industry“.

The Position of the EU in a Globalised World:
Strengths of the European Union.

- **The European Union is the third largest economic region in the world:**
  - Global nominal GDP in 2025 is 124.000 US$. Worldwide growth 3%.
  - EU-27 nominal GDP in 2025 is 23.000 billion US$. Growth 1,3%.
  - EU-27 has 18% of global nominal GDP with 6% of global population.
  - Shares in global economy in 2025: USA 25%, China 19%, EU 18% (22% in 2010), Japan 4,2%.
  - Growth rates of economy 2024: USA 2,1%, China 5%, EU 1,3%.
  - The citizen of the EU experience an unprecedented wealth (GDP 2025 was 47.000 US$ per capita).
  - The EU has the best education system in the world.
  - Its political „Leitmotiv“ - ***Sustainable Development*** – can serve as a model for the whole world.
  - Excellent political relations with most countries in the world.
  - Share of industry in GDP still 20%.
  - Strong global position in industrial machinery, high performance steel, chemistry, medicinal products, pharmaceuticals, automobile industry, food, luxury products.

Global Champion in Luxury Products.

World Leader in Tourism.

- **European Culture: unique in diversity and quality.**
- **Tourism:** 3 billion overnight stays of tourists in EU (2024).

Bischofsmütze

Leonardo (1452-1519)

The European Union Trade Policy:
Critical Issues of Globalisation.

- Extensive regional diversification of production created a critical dependency on the functioning of supply chains:
- Massive transfer of production of parts of a complex „good“ (like an automobile) from the EU to Third Countries for economic reasons.
  - **Example Audi A 5 e-tron:**
  - Development, engineering, design in Germany (Ingolstadt).
  - Production of car in Belgium (Brussels).
  - Car consists of 6.000 different components – delivered by 300 companies from 37 different countries.

Source: Spiegel 2024

The European Union Trade Policy:
Critical Issues of Globalisation.

- Increasing outsourcing of production of critical goods to China and Emerging Economies like India:
- Example: Antibiotics - production of the 15 most important substances:
  - 81 production sites in China – 36% of global supply
  - 65 production sites in India – 29% of global supply
  - 57 production sites in Europa – 25% of global supply
  - 2 production sites in USA – 29% of global supply
  - Germany has only one producer.
- Consequence: severe shortage in times of crisis (Corona) due to interruptions in delivery chains.
- Reaction of EU:

– Creation of Platform „Strategic Technologies for Europe (STEP)“ to support innovation and building of industrial capacities with emphasis on biotechnology (160 billion EUR).

Source: FAZ 2023, Die Presse 2024

The Position of the EU in a Globalised World:
Weaknesses of the European Union.

- **Global economic position and performance decreasing:**
  - Share in global economy fell from EU 20% in 2010 to 17,6% in 2024.
  - Low growth rates of economy over many years now.
- **Structural and socio-economic problems:**
  - High taxes, labor and energy costs and elaborate social system:
    Share of EU in global social expenses is 50%!
  - Aging society (by 2030 one active worker will have to support 2 people, who are either in education or in pension).
  - Insufficient R&D investments in new technologies and low innovation.
  - Slow, but progressing de-industrialization due high manufacturing costs and excessive bureaucracies (EU-made and national regulations):
    - *Felipe Gonzales*: „In Europe, it is impossible to find the next Bill Gates hiding in someone's garage as the municipal council would probably prohibit that.“*
  - Increasing dependency on other economies for high-tech products (chips, computers, smart phones, software, AI, pharmaceuticals, batteries for E-cars…).

Excessive Bureaucracy in Small Business:

Invoice of a Pizzeria in Bad Reichenhall for Light Lunch.

SOLE D`ORO
POSTSTRASSE 53; 83435 BAD REICHENHALL
TEL.+49 8651/7628740
WWW.SOLEDORO-BGL.DE
RECHNUNG

1. Kopie
Tisch #22

==========

1 x 11,90		
SPEISEN	11,90	B
2 x 3,80		
0,3 HELLES	7,60	A
1 x 2,70		
ESPRESSO	2,70	A
1 x KAFFEE à 3,00	3,00	A
1 x 15,90		
CARPACCIO DI MANZO	15,90	B

==========

Total	41,10	
Ums.exkl.19% MwSt		
	11,18	A
enth. MwSt 19%	2,12	A
Ums.exkl. 7% MwSt		
	25,98	B
enth. MwSt 7%	1,82	B
BAR	41,10	

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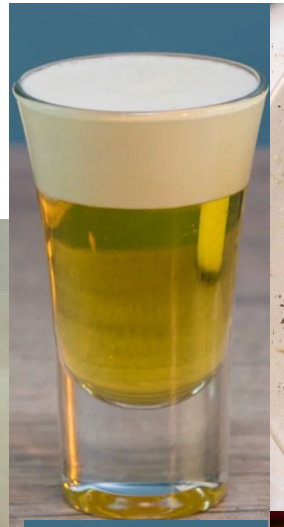
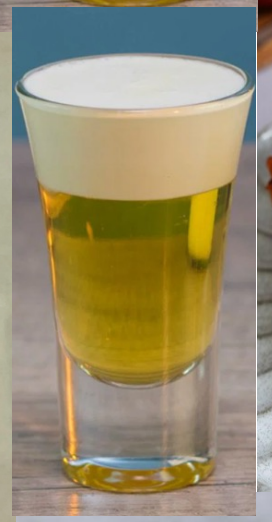
DAS SOLE D´ORO TEAM BEDANKT SICH
FÜR EUREN BESUCH.

Total bill: 41,10 EUR





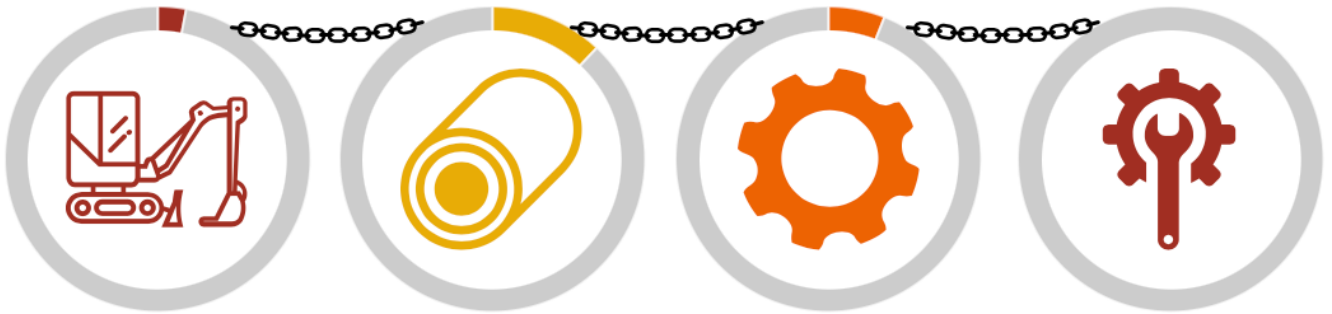
The Position of the EU in a Globalised World.

The EU is highly dependent on other economies
for import of hi-tech products.

Made in Europe?

Smart Phones,
Tablets and Laptops

Share of EU in global production



raw materials | processed materials | components | production

Source: JRC, Pragmaticus 2023

The Position of the EU in a Globalised World:
Weaknesses of the European Union.

- **Socio-cultural problems:**

– Lack of dynamism („Wellness Society“).

– Felipe Gonzales*: „The current world economic crisis should be grasped as an opportunity to move Europe on from the state of sweet decadency in which it has lived for years.“

– Initiatives for 32 hour-work week and school system without grades.

– Excessive emphasis on work-life-balance.

– Liberal market economy is in a defensive position.

– Insufficient education of population in economics and social sciences.

– Poor transport of information from the media to the public in important questions, like climate change and the necessary energy transformation.

– ”Believing” often more important than “knowing”.

– Emotionalisation of politics.

– Spreading of opportunism and extreme political ideologies.

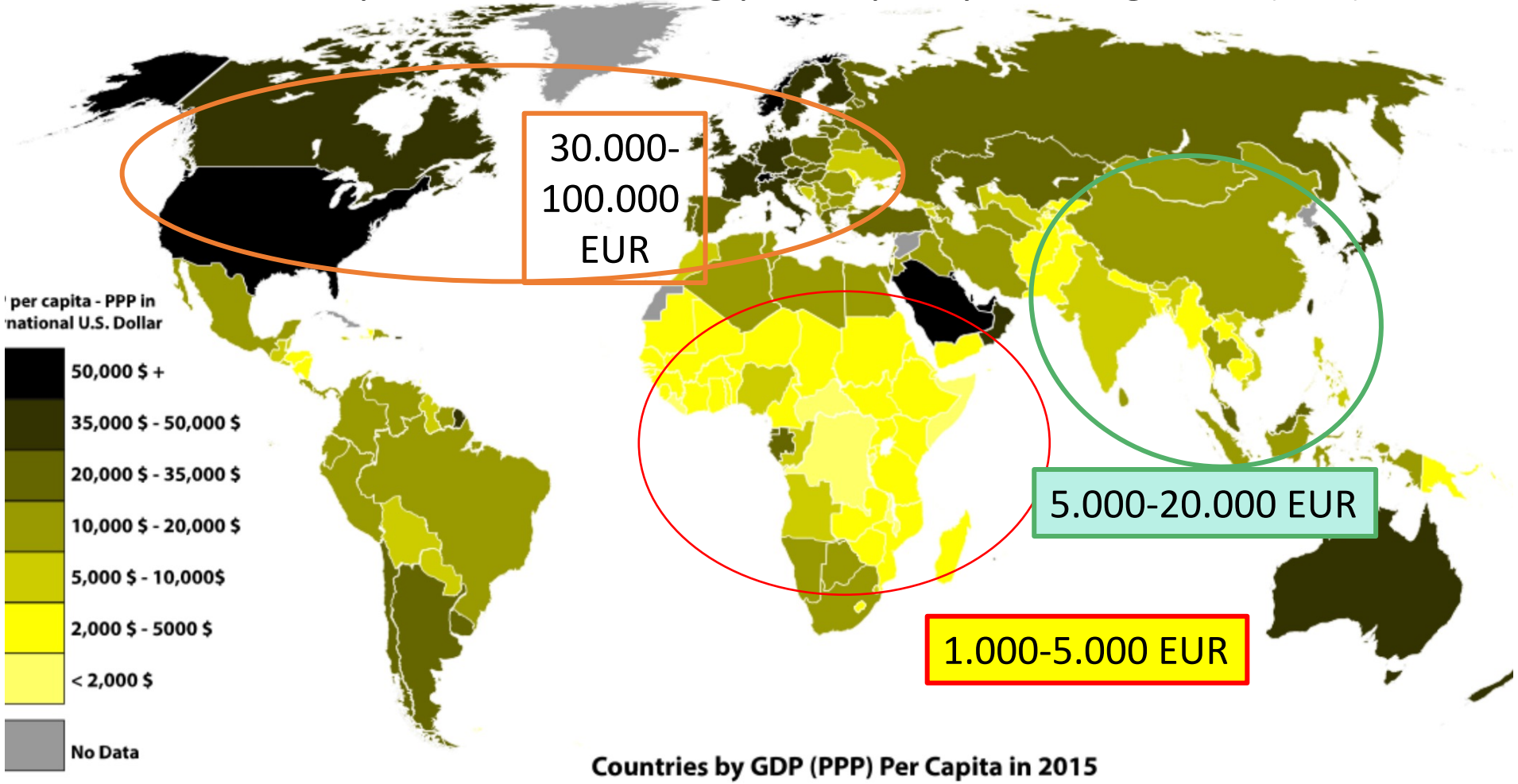
*Social Democrat, Spanish Prime Minister 1982-96,
Chair of Evaluation Group of Lisbon Strategy

The Position of the EU in a Globalised World:
Weaknesses of the European Union.

- **Politically the EU is an „ongoing and unfished project“:**
  - Poor military strength and military coordination between Member States.
  - Lack of common foreign policy.
  - Lack of financial or economic coordination of the Member States at EU level.
  - High illegal immigration, but still lacking an effective common asylum policy.
  - Presently no tendency for further political integration within EU, rather „renationalisation“.

The Global Economic Situation.

World map showing GDP per capita of the different countries.
Basis for comparison: Purchasing power parity exchange rate (PPP)



Source: Wikipedia, World Bank 2018

WTO agreement 1995: free global trade covers 95% of global production.

Trade Relations with “Emerging Economies”.

- “Emerging economies”: Dramatic growth of industrial production and energy consumption.
- Major focus: India, Indonesia, Malysia…….

India – Barauni refinery of Indian Oil Company. Production of 9 million to/a of fuel, Class EUROVI.

- Europe must provide the “best available” technologies and open up for further joint developments,
  - to reduce pollution in industrial production,
  - to improve energy efficiency,
  - to produce “clean energy”,
  - to develop sustainable modes of transport.

Trade Relations with “Developing Countries”.

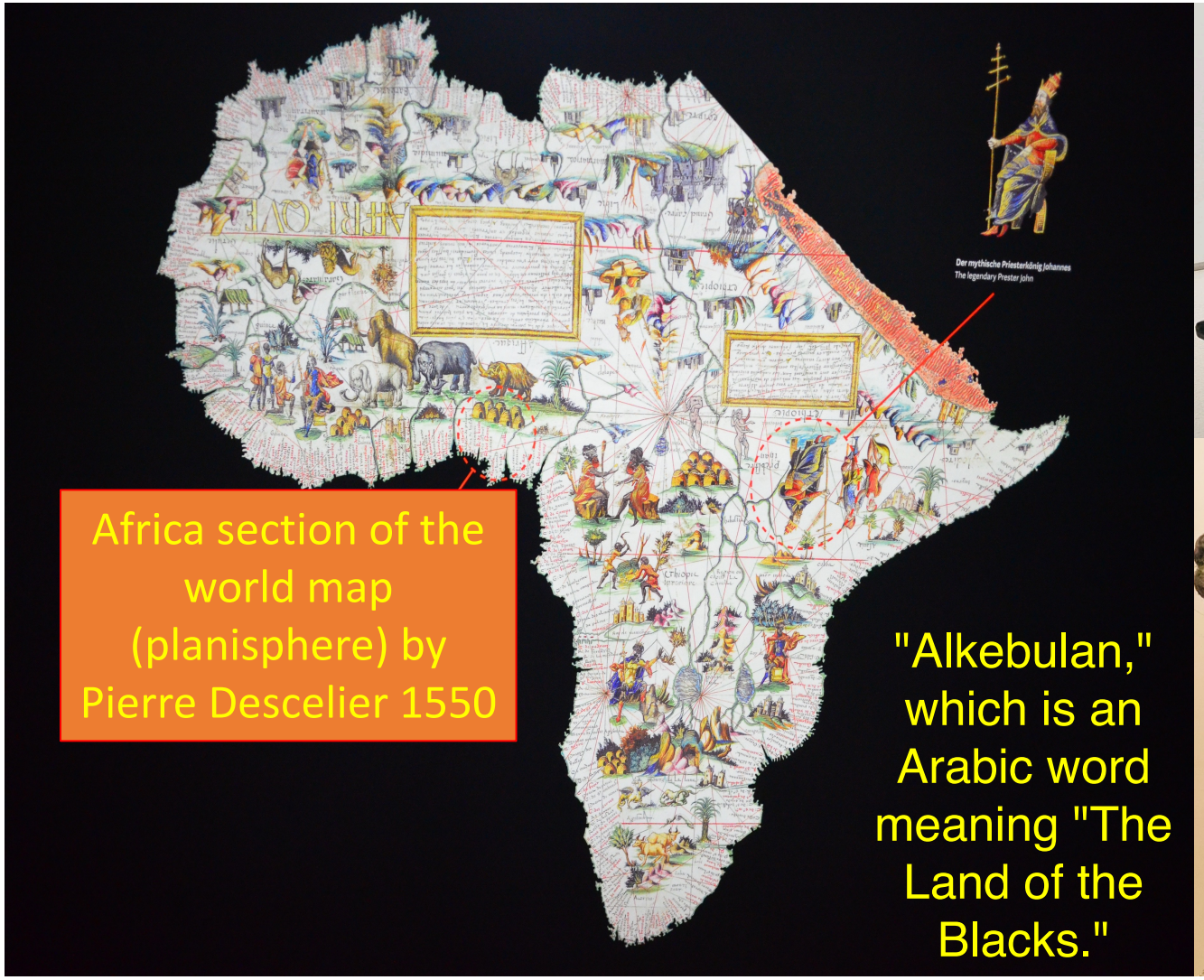
- Developing countries: poverty, lack of essential infrastructure and services in the poorest countries.
- Focus: Africa

- Europe must provide development aid, focussing on infrastructure development,
- enhance trade, by reducing European import barriers and excessive export subsidies (agriculture),
- supply adequate technologies, following the EU sustainability criteria as much as possible, e.g. solar energy for Africa.

- EU largest donor of development aid globally.
- Annually 55 billion EUR (EU and Member State funds) – 0,4% of GDP.

Development Cooperation: Africa.

- The interest of Europe in Africa developed in the 15th and 16th century, mainly due to the many Portuguese expeditions launched by King Henry the Navigator, a.o. those of Bartolumeu Dias, Vasco da Gama.



Africa section of the world map (planisphere) by Pierre Descelier 1550

"Alkebulan," which is an Arabic word meaning "The Land of the Blacks."

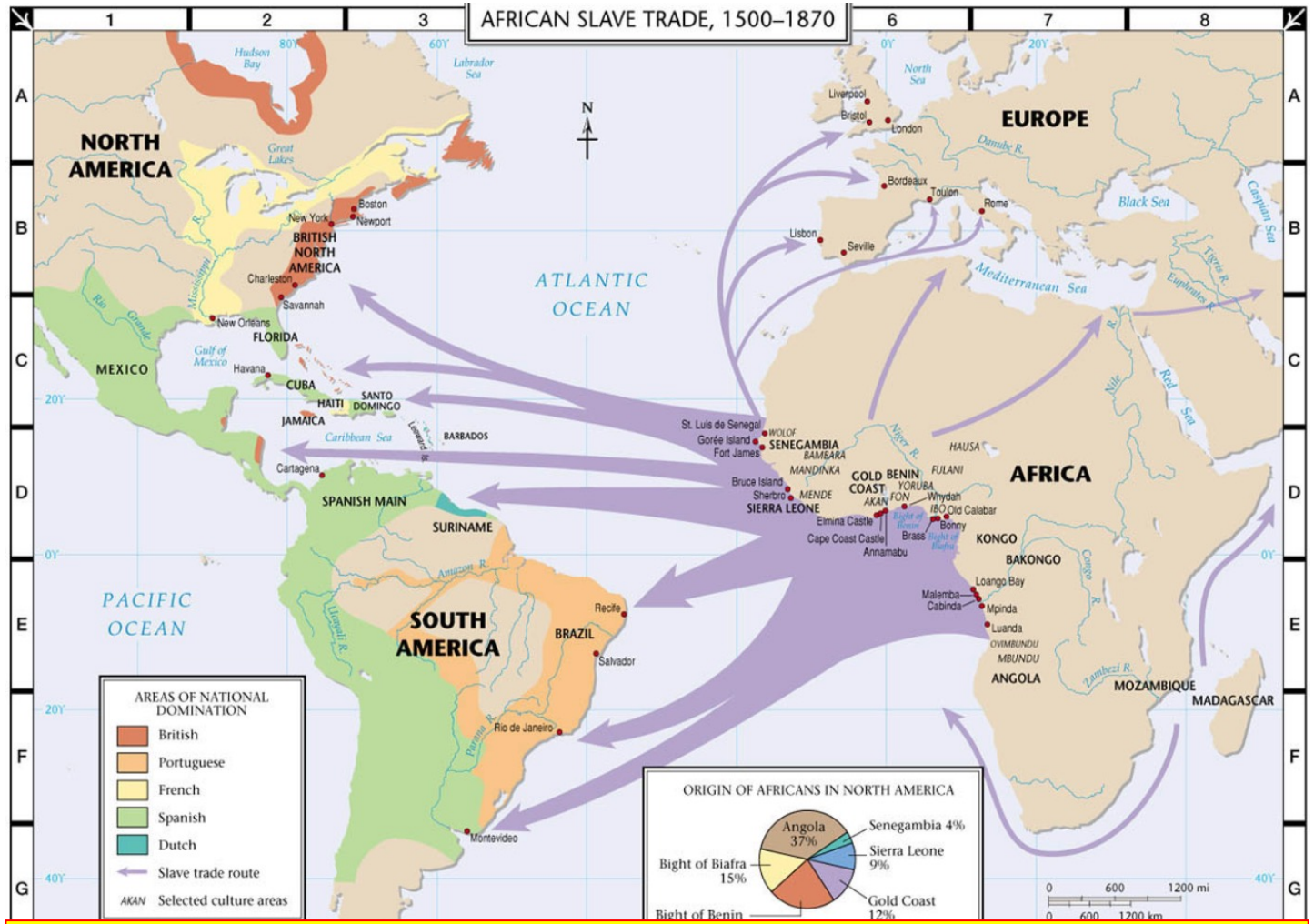
boat made out of 1 tree trunk

Source: Weltmuseum Wien, Africa Museum Brussels

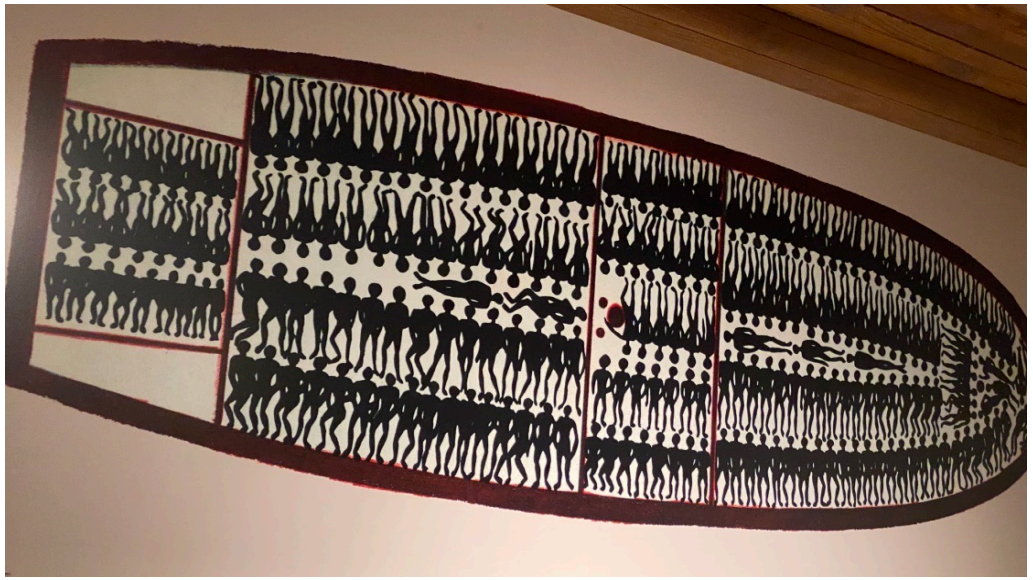
African Art Objects.

European Colonisation of Africa.

- Colonisation of Africa started soon after the great discoveries and focused first on coastal zones.
- Later expeditions opened up the interior of this continent (e.g. Livingstone, Stanley).

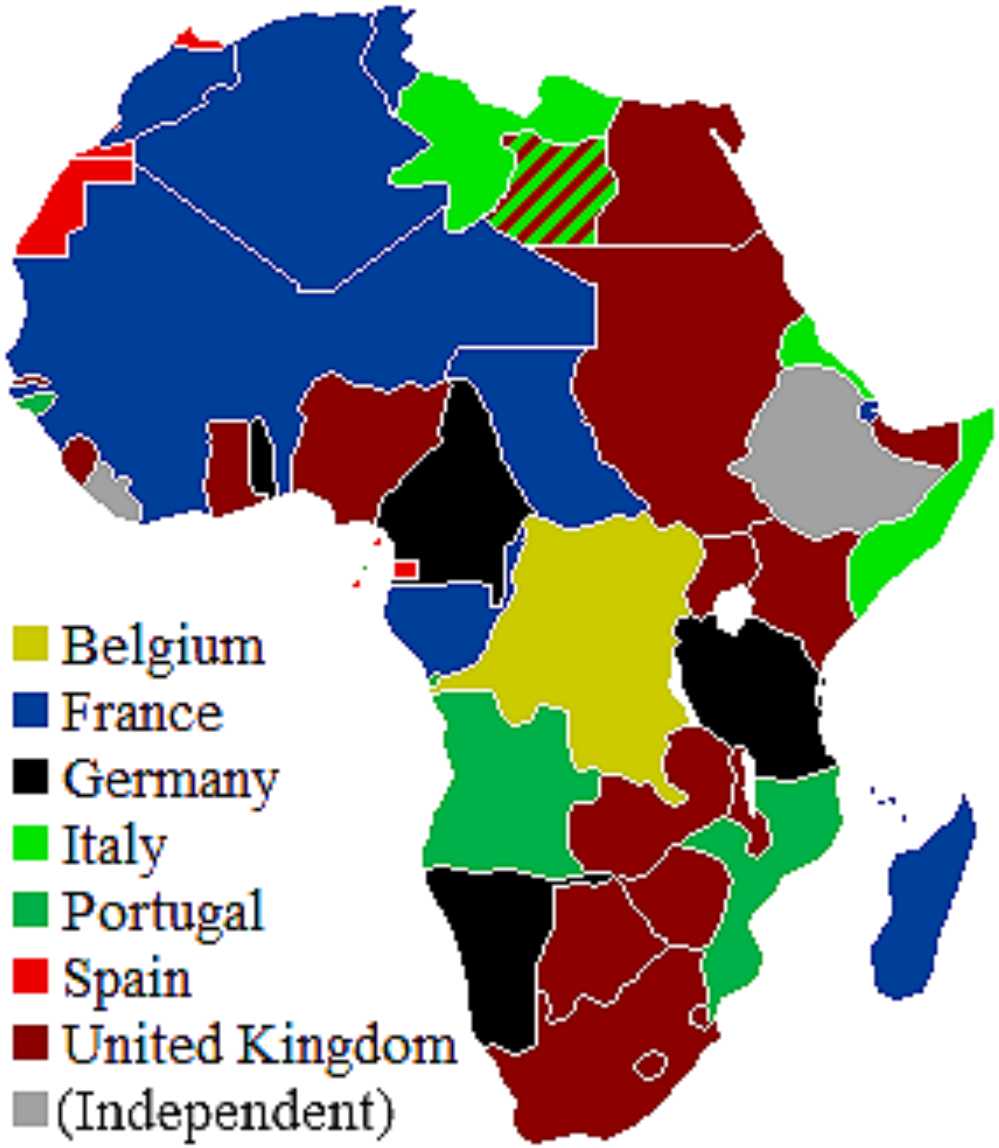


- Main driving forces were search for gold and other precious raw materials, slave trade and in general territorial gains by European nations, particularly England, France, Portugal, Belgium, Germany, Italy.
- Transport of slaves in special ships.
- Death rate up to 30%



10-15 million slaves transported from West Africa to the Americas.

European Colonisation of Africa.



Africa 1914 under the control of Europe.

- **Period of "New Imperialism" (1884 – 1960s):**
  - Occupation, division, colonization of Africa by Europe.
  - 1870: 10 percent of Africa was under European control.
  - Berlin Conference of 1884 brought 90 percent of Africa under European control (except Ethiopia and Liberia).
  - This rigid colonial system with white judicial, economic and social supremacy lasted until the 1960s.

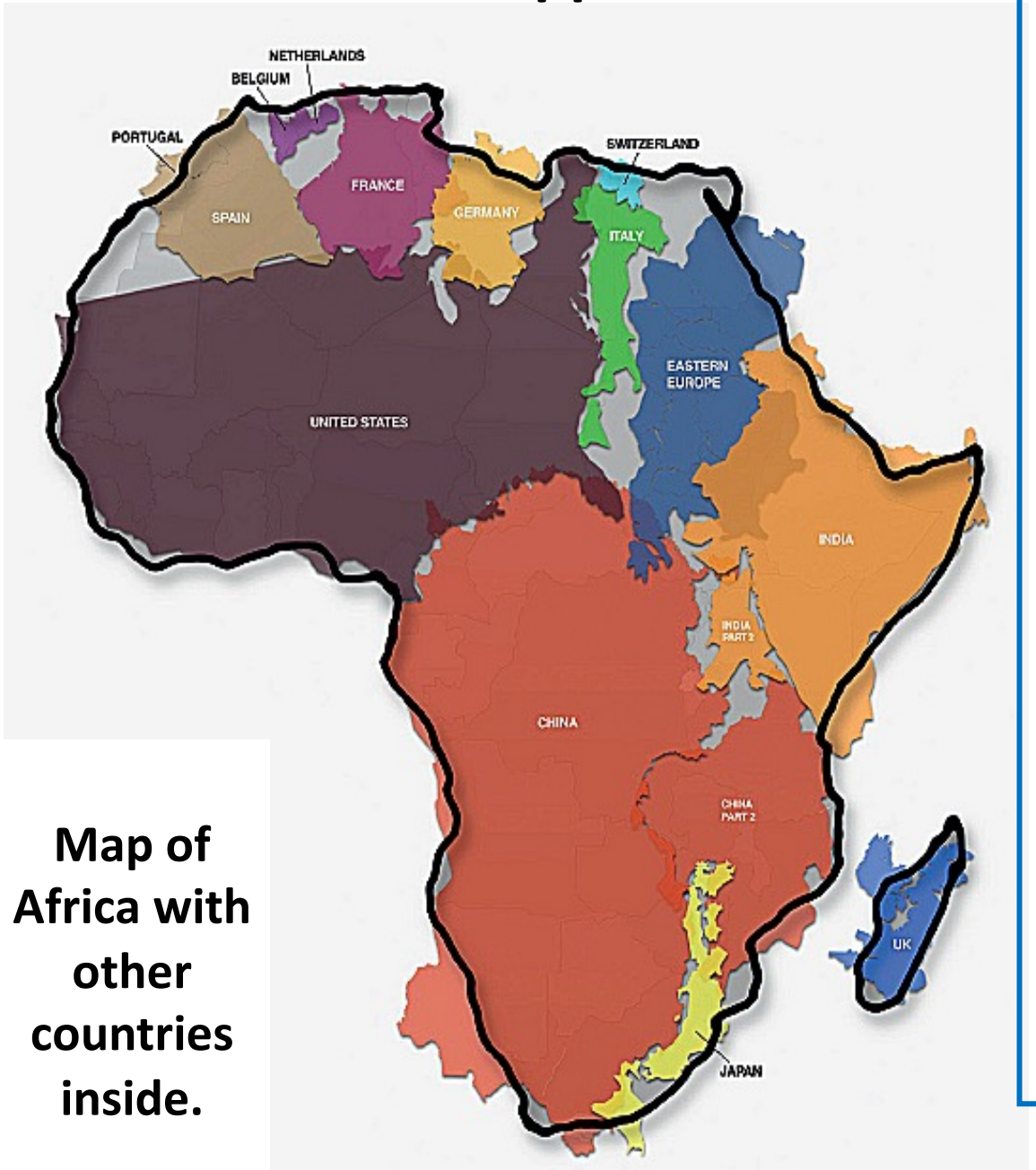
The New Independent Africa: A Continent with 2.000 Indigenous Languages.

- The former colonies of EU Member States became sovereign countries and associates of the Community.
- 1975 Lomé Convention: first formal agreement between the European Union and African States.

Africa Museum, Brussels.

- **2000 Cotonou Agreement:**
  - Promotion of economic, cultural and social development of Africa and consolidation of relations with EU, including special trading concessions and European Development Fund for African (3-5 billion EUR/year).
- **Barcelona Process:**
  - Trade and cooperation agreements with the southern Mediterranean region ("Barcelona Process").
  - Problematic zone due to civil unrests, wars and massive migration into the EU.

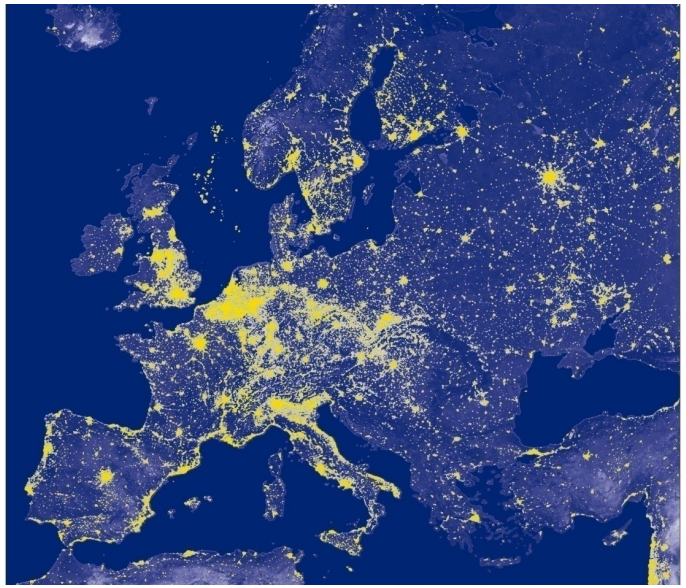
The African Opportunities.



Map of Africa with other countries inside.

- **Africa is a huge continent:**
  - 30 million km^2
  - 20% of the global land mass
- **Africa has a large and young population:**
  - 1,3 billion in 2024
  - 2,5 billion by 2050
  - median age 22 years
  - EU median age 45 years
- **Africa is rich in natural resources:**
  - Minerals like uranium, copper, cobalt, iron, zinc, oil, gas, wood, agricultural products…….
- **Africa offers many investment opportunities for European companies:**
  - Infrastructure development (railroads, highways, electricity generation, water purification……..).
  - Development of local production.
  - Export of consumer products.

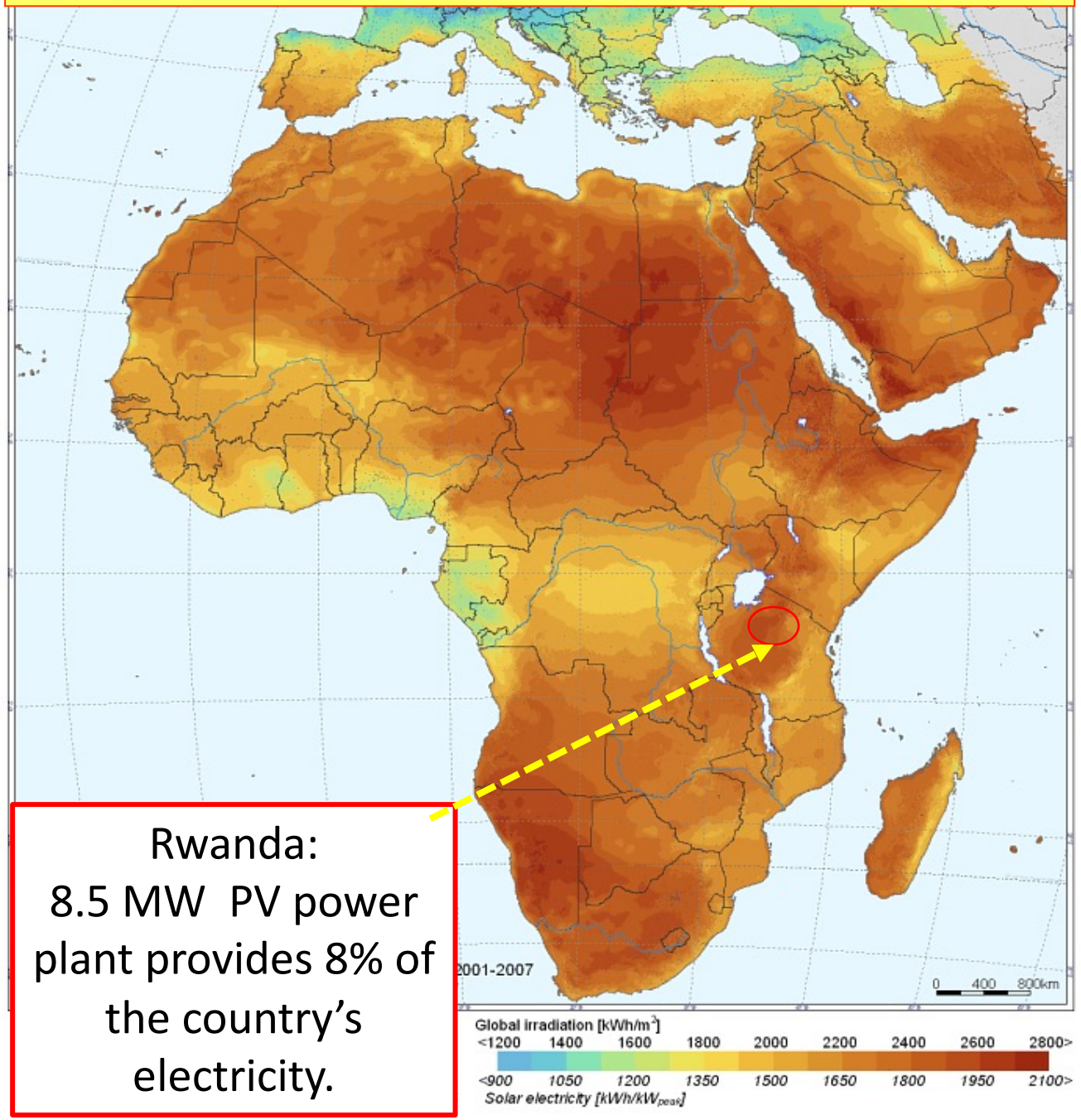
Infrastructure Development in Africa.



Setting up local/distributed electricity production and supply systems are among the most important measures.

Production of hydrogen and synthetic fuel in N-Africa with PV?

Potential of Solar Energy in Africa.

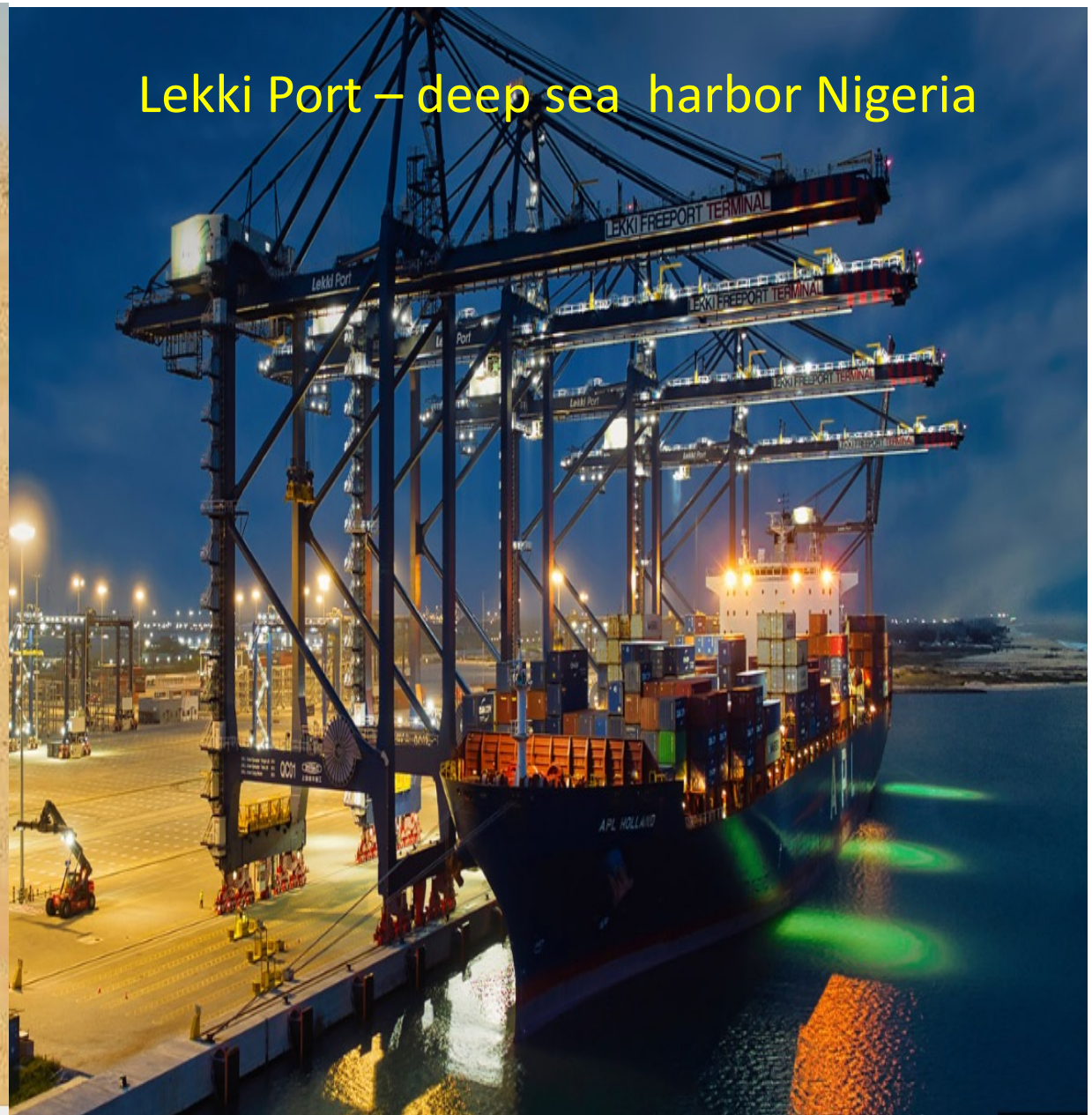


Rwanda:
8.5 MW PV power plant provides 8% of the country’s electricity.

Infrastructure Development in Africa.

Freight train in Mauretania:
from Zuérate (middle of the desert to Nuadibu (West coast), distance 700km

Length of train 3km,
carries 20.000 tons of iron ore.



China – Leading Infrastucture Development in Africa.

Constructed by China State Construction Engineering.

Major Infrastructure projects.

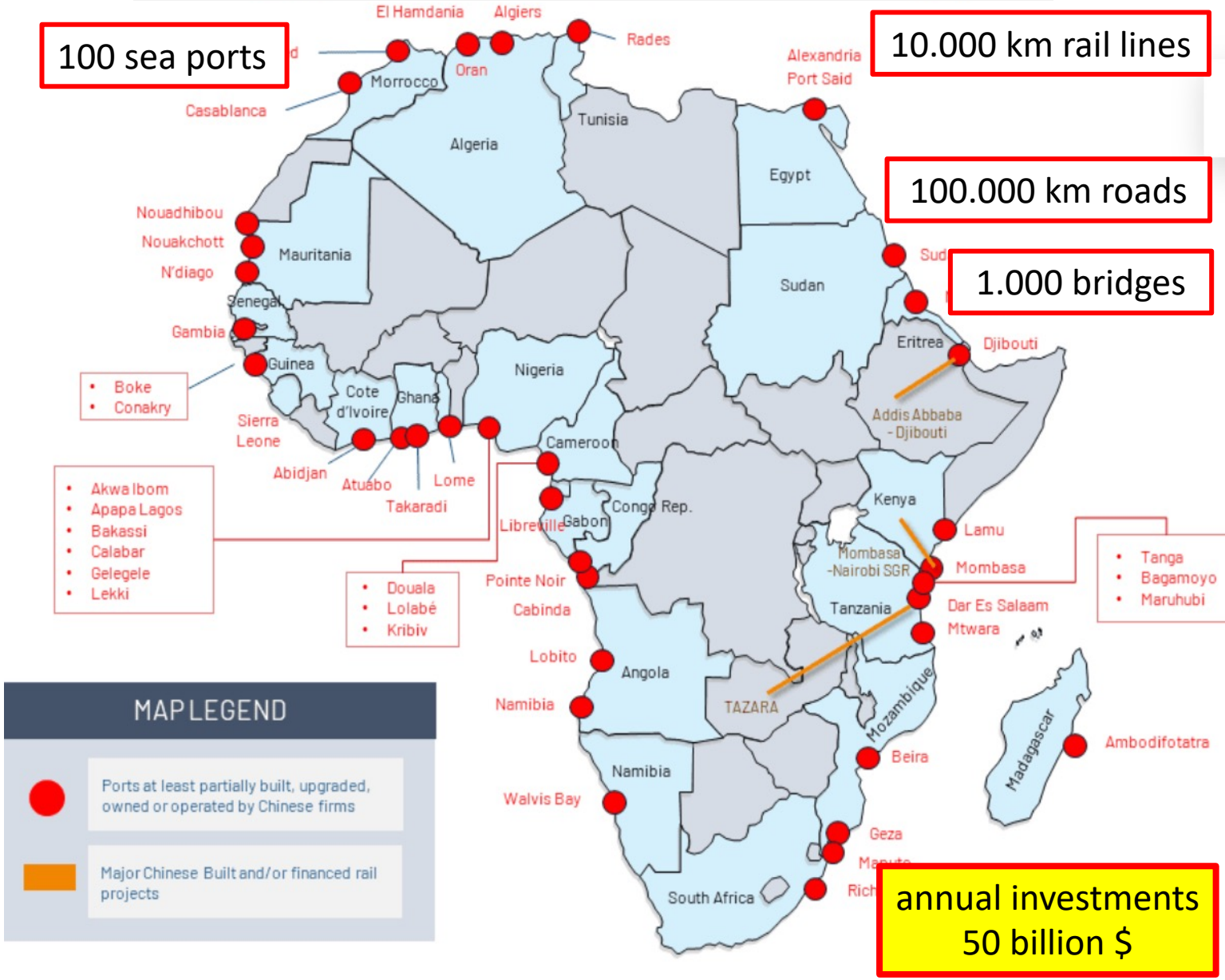
100 sea ports

10.000 km rail lines

100.000 km roads

1.000 bridges

annual investments 50 billion $



Chris Ofili: No Woman, No Cry (1998)

Amoako Boafo: “People of Africa“

Development Cooperation.

- **Humanitarian relief programs of EU:**

– The European Community Humanitarian Aid Office, or "ECHO", provides humanitarian aid.

– 2024 budget: 1.900 million EUR (plus special emergency funding).

– Roughly 50% of these funds go to the Near East, Africa, Caribbean and Pacific countries.

2004 floods in Haiti

2005 Tsunami in Thailand

2025 Fighting hunger in Yemen.

Humanitarian Relief Program for Palestine.

- **October 7, 2023: Attack by Hamas on Israel : 1.139 people killed, 250 hostages taken.**
- October 27, 2023: „Operation Iron Sword“ by Israel with occupation of the whole territory.
- 50.000 inhabitants killed and 60% of all buildings destroyed.
- Massive problems in supply of food, „housing“ and medical services for the civilian population.
- Financial aid from the EU for the Palestinian population: 1,9 billion EUR since begin of the conflict.

The European Union as a Global "Soft Power":
Political Values of European Soft Power.

Pioneer in the Propagation and Implementation of the Concept of Sustainable Development for the Whole World.

"Lissabon Agenda"

- **Economic Growth**
- **Social Equilibrium**
- **Environmental Quality**

- Guiding Principle for the European Union incorporated in all EU sectoral policies.
- Sustainable Development should be the guiding principle for all nations.
- EU must apply this principle in negotiations at the level of all international organisations like the UN, WTO, G20 as well as for bilateral trade agreements.

Summary: Major Policy Areas and Achievements of EU.

80 years of peace.

- **The Single Market:**
  - Single European Act: Provides for free movements of people, goods, services, and money and abolition of custom controls and fees.
  - EU belongs to the triad of the largest economies in the world.
  - Transport Policy: Trans-European Networks (TEN).
  - Energy Policy: measures for energy security, energy transformation in the concept of the Green Deal, securing energy supply by diversification after confrontation with Russia.
  - Competition Policy:
    - breaking up of monopolistic methods and structures,
    - reduced air fares and telephone charges.

Summary: Major Policy Areas and Achievements of EU.

- **The Solidarity Policies:**
  - Regional and cohesion Policy: transfers of funds from rich to poor countries/regions (25% of EU budget, 30 billion EUR annually).
  - Common Agricultural Policy (CAP): subsidies for European farmers with emphasis on sustainable farming practices and production of affordable food (1/3 of EU budget).
  - Common Fisheries Policy (CAP): subsidies for fishery industry to achieve a sustainable management of European fish stocks.
  - Environmental Policy: 300 pieces of important legislation limiting pollution and supporting sustainable development since 1972 - very high environmental quality in the EU.
  - Climate and Energy Policy (2020): “Green Deal” towards a Carbon Neutral Europe by 2050.
  - Plan for renaturalisation of European land and waters.

Summary: Major Policy Areas and Achievements of EU.

- **The Innovation Policies:**
  - Research Policy: European research programmes to enhance competitiveness (ca 10% of EU budget).
  - Education Policy: ERASMUS and Leonardo for exchange of students and trainees (ca 3% of EU budget).
  - Innovation: Programs for supporting innovation in critical fields, like ICT, AI.
  - Support for innovations enabling the energy transformation required by the Green Deal.
- **The Economic and Monetary Union:**
  - Common currency for 21 member states (Eurozone): ECB; EURO second most important currency in the world (20% of global reserves); problem: lack of financial and economic coordination.
  - Flexible support measures for member states after a crisis.
  - Investment program for the modernisation of European industry and infrastructure.

Summary: Major Policy Areas and Achievements of EU.

- **Home Affairs:**
  - Freedom: Schengen Agreement for abolition of border control (25 Member States).
  - Security: Europol for co-operation of police forces; Eurojust for co-operation between prosecutors; Frontex/EBCGA for co-operation between border control authorities.
  - Justice: Civil law cooperation in areas like extradition, family law; European prosecution attorney.
- **Foreign Affairs:**
  - External Security: High Representative of the Union for Foreign Affairs and Security Policy; EU diplomatic corps; EUFOR; European Union battle groups; Eurofighter; “rearmament” of the European Union within NATO.
  - Trade: EU second largest export (after China) and import region (after the USA) in the world, new trade agreements in the pipeline.
  - Development Cooperation: EU is largest provider of development aid (0,4% of GDP), immediate support for regions in a severe humanitarian crisis (e.g. Gaza).

Future Position of the European Union?

Quo Vadis Europa?

Thank you for your interest!